



ECONOMIC VALUE ANALYSIS *INCORPORATING 'VALUE'* *INTO PRICING*

Canvas

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If you have not already done so, please go to Canvas to review

➡ All course documents

➡ Introductory video for course

Overview

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- From the intro video you were reminded that

Marketing coordinates **P**ricing with the value delivered to customers.

- So now we will discuss:
 - ▣ Bringing **value** into pricing decisions with **EVC** framework
 - ▣ Example: Kone mini-case

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I. Value and Willingness-to-Pay



The EVC Framework

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- Need **framework** to put ourselves into customer's shoes to assess perceived **value** qualitatively &, possibly, quantitatively
- We will use a **microeconomic theory** to determine value

Economic Value to the customer (**EVC**) model

- How much is the product worth to the buyer?
- What is the buyer willing to pay?

Theory: Use value vs Economic Value

Coca Cola on the beach

6



Suppose your satisfaction from drinking a cold bottle of Coca Cola on the beach is **US\$35**
(HK\$270 & £27)

As a marketer, we are usually not able to fully monetize the full USE VALUE. But we can market and advertise the ECONOMIC VALUE.

do not leave money on the table. Learn to monetize what we are selling, but first identify what we are selling.

Theory: Use value vs Economic Value

Coca Cola on the beach

6

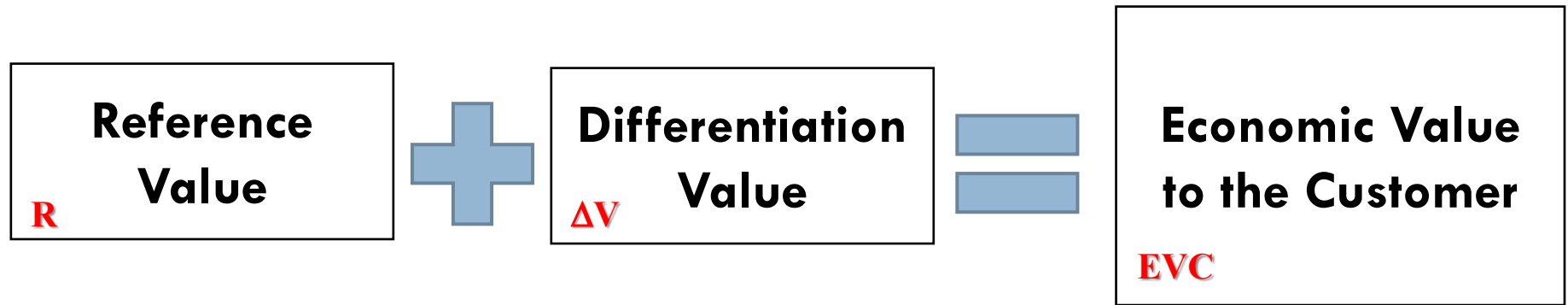


Suppose your satisfaction from drinking a cold bottle of Coca Cola on the beach is **US\$35**
(**HK\$270 & £27**)

**Would you pay \$35
for a bottle of Coke?**

Economic Value to the Customer (**EVC**)

7



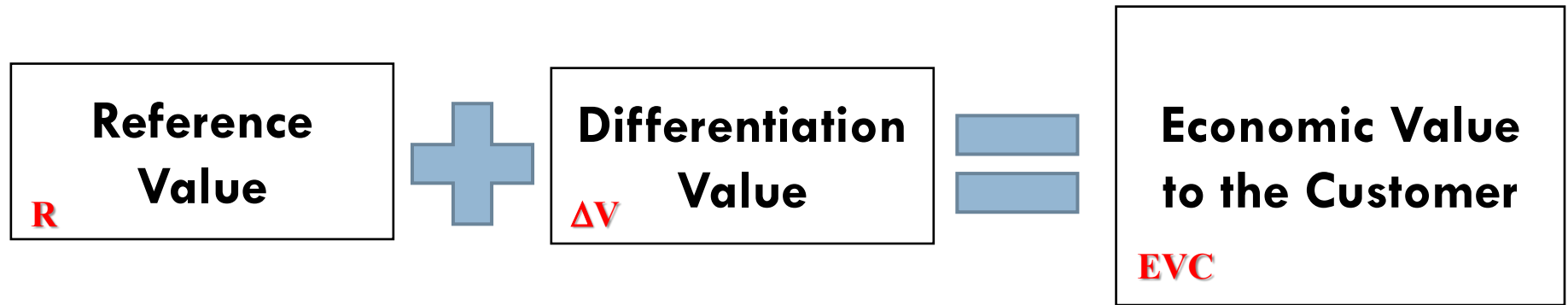
R.V; what is the next best alternative.

- **Reference Value** - Price of what customer views as best substitute
- **Differentiation Value** - Value of differentiating attributes

Sometimes, D.V can be negative. Companies had been successful selling inferior / cheaper products. Especially with EOS / back office HQ support

Economic Value to the Customer (**EVC**)

8



- **Reference Value** - Price of what customer views as best substitute
- **Differentiation Value** - Value of differentiating attributes

➔ Economic value defined “relative” to what **competition** offers

Economics of Buying Behavior

The Maximum-Willingness-to-Pay (WTP)

9

Assume customers choose based on Net Value

Our Product

- Our Benefits – Our Price
$$= V_{Us} - P_{Us}$$

Competitor's Product

- Their Benefits – Their Price
$$= V_{Them} - P_{Them}$$

Economics of Buying Behavior

The Maximum-Willingness-to-Pay (WTP)

9

Assume customers choose based on Net Value

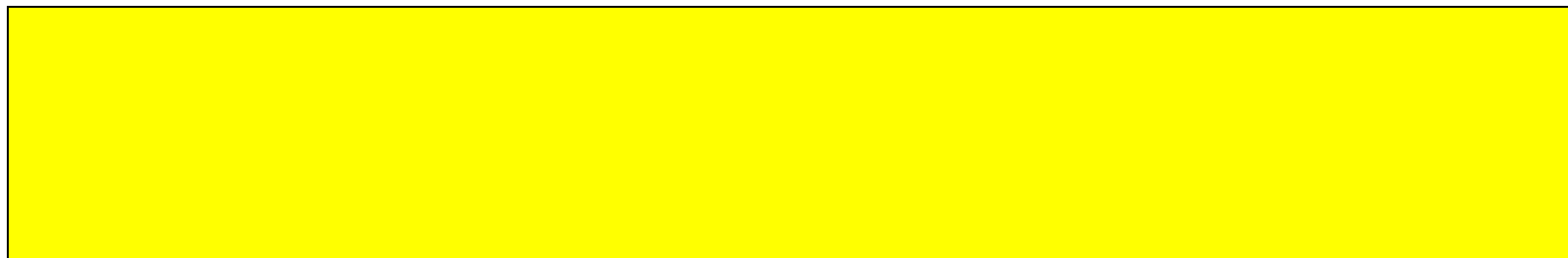
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Customer Choice - Select Our Product if:



Economics of Buying Behavior

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Customer Choice - Select Our Product if:

$$[V_{Us} - P_{Us}] \geq [V_{Them} - P_{Them}]$$

Economics of Buying Behavior

The Maximum-Willingness-to-Pay (WTP)

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Customer Choice - Select Our Product if:

$$\begin{aligned} & [V_{Us} - P_{Us}] \geq [V_{Them} - P_{Them}] \\ \iff & (V_{Us} - V_{Them}) + P_{Them} \geq P_{Us} \end{aligned}$$

Economics of Buying Behavior

The Maximum-Willingness-to-Pay (WTP)

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Customer Choice - Select Our Product if:

$$\begin{aligned} & [V_{Us} - P_{Us}] \geq [V_{Them} - P_{Them}] \\ \Leftrightarrow & (V_{Us} - V_{Them}) + P_{Them} \geq P_{Us} \\ \Leftrightarrow & \Delta V + R \geq P_{Us} \end{aligned}$$

ΔV = Differentiation Value
 R = Reference Value

Economics of Buying Behavior

The Maximum-Willingness-to-Pay (WTP)

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Assume customers choose based on Net Value

Our Product

$$\begin{aligned} &\blacksquare \text{Our Benefits} - \text{Our Price} \\ &= V_{Us} - P_{Us} \end{aligned}$$

Competitor's Product

$$\begin{aligned} &\blacksquare \text{Their Benefits} - \text{Their Price} \\ &= V_{Them} - P_{Them} \end{aligned}$$

Customer Choice - Select Our Product if:

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ΔV = Differentiation Value
 R = Reference Value

Calculating economic value

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Steps Involved

- 1 Identify the cost of the competitive product or best available substitute process (i.e., the *benchmark* or reference value)
- 2 Identify all factors that *differentiate* the new product from the reference product or substitute process (+ or - , objective or subjective)
- 3 Determine the *economic value* to the customer of the *differentiating* factors
- 4 *Sum* the reference value and the differentiation value to determine the total economic value to the customer

Different customers segment can have different reference products. So you need to analyse the various segments.

What is the differentiation value for attending EMBA at Booth?



An EVC case study

Kone - The Monospace Launch

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- Now we have an EVC framework
- How can we use EVC to conduct basic analytics for a new venture?



An EVC case study

Kone - The Monospace Launch

18

- New Ecologically-friendly elevator
 - ▣ Uses less oil and energy (**Ecodisc**)
 - ▣ Doesn't require machine room (**Monospace**)



An EVC case study

Kone - The Monospace Launch

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- New Ecologically-friendly elevator
 - ▣ Uses less oil and energy (**Ecodisc**)
 - ▣ Doesn't require machine room (**Monospace**)
- Planning launch in Eastern German market



New construction



Historical buildings

An EVC case study

Kone - The Monospace Launch

13

- 11,500 prospective properties identified
- Classified into 3 segments (based on reference products)
 1. Hydraulic elevators with machine room on first floor
 - 6,900 planned
 2. Geared elevators with machine room below shaft
 - 1,495 planned
 3. Geared elevators with machine room above shaft
 - 3,105 planned

An EVC case study

Kone - The Monospace Launch

14

	Segment 1	Segment 2	Segment 3
Reference Value			
Reference Product	Hydraulic 1st floor (PH)	Geared top shaft (PT)	Geared bottom shaft (PU)
RV: Price of Ref. Product (DM)	60,000	75,000	80,000

An EVC case study

Kone - The Monospace Launch

14

	Segment 1	Segment 2	Segment 3
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Reference Product	Hydraulic 1st floor (PH)	Geared top shaft (PT)	Geared bottom shaft (PU)
RV: Price of Ref. Product (DM)	60,000	75,000	80,000
Differentiation value (10yrs)			
Machine room savings (DM)	15,000	18,750	20,000
Energy consumption (DM)	42,000	20,000	20,000
Oil requirements (DM)	10,000	1,000	1,000
Fuses (DM)	15,400	7,400	7,400

An EVC case study

Kone - The Monospace Launch

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DV (DM)	82,400	47,150	48,400

An EVC case study

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DV (DM)	82,400	47,150	48,400
EVC = DV + RV	142,400	122,150	128,400

An EVC case study

Kone - The Monospace Launch

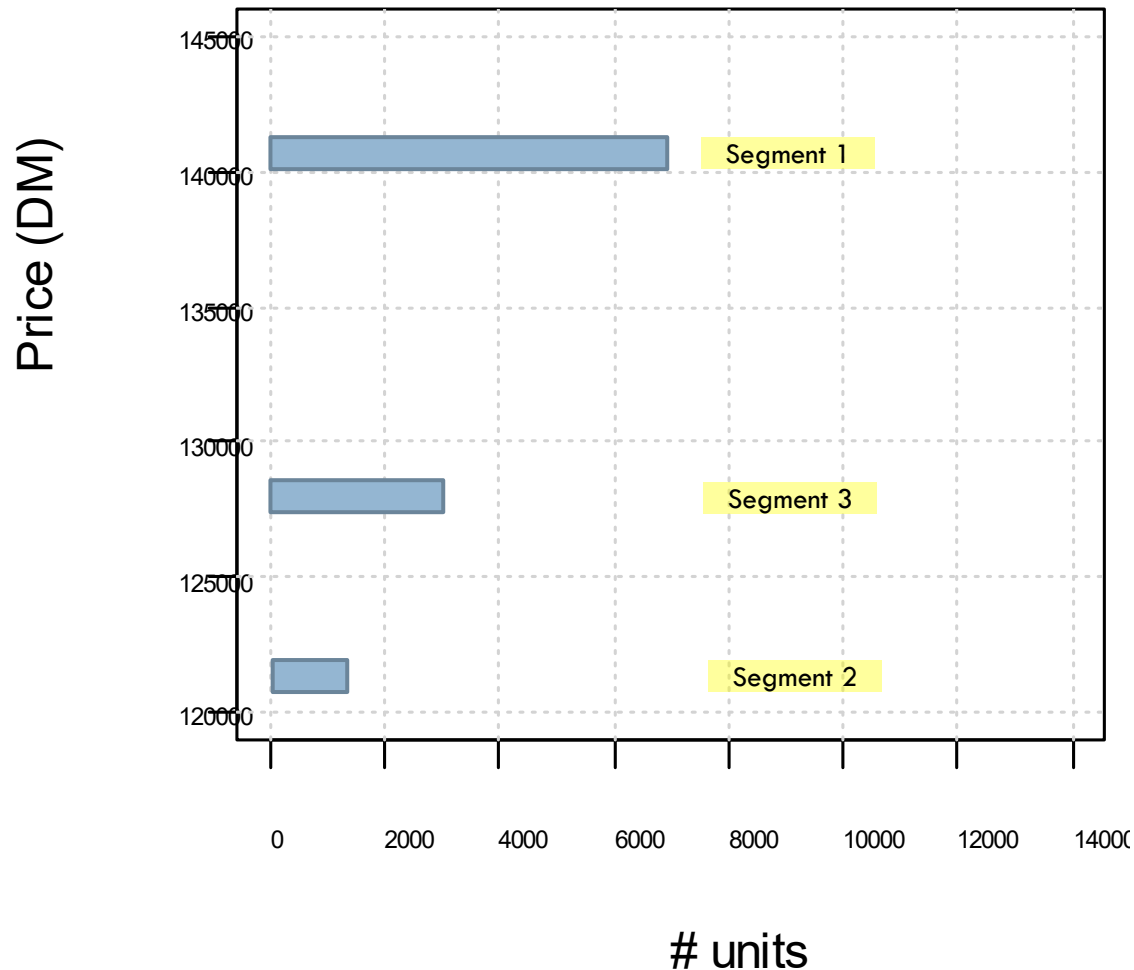
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EVC = DV + RV	142,400	122,150	128,400
Market size	6,900	1,495	3,105

An EVC case study

Kone - The Monospace Launch

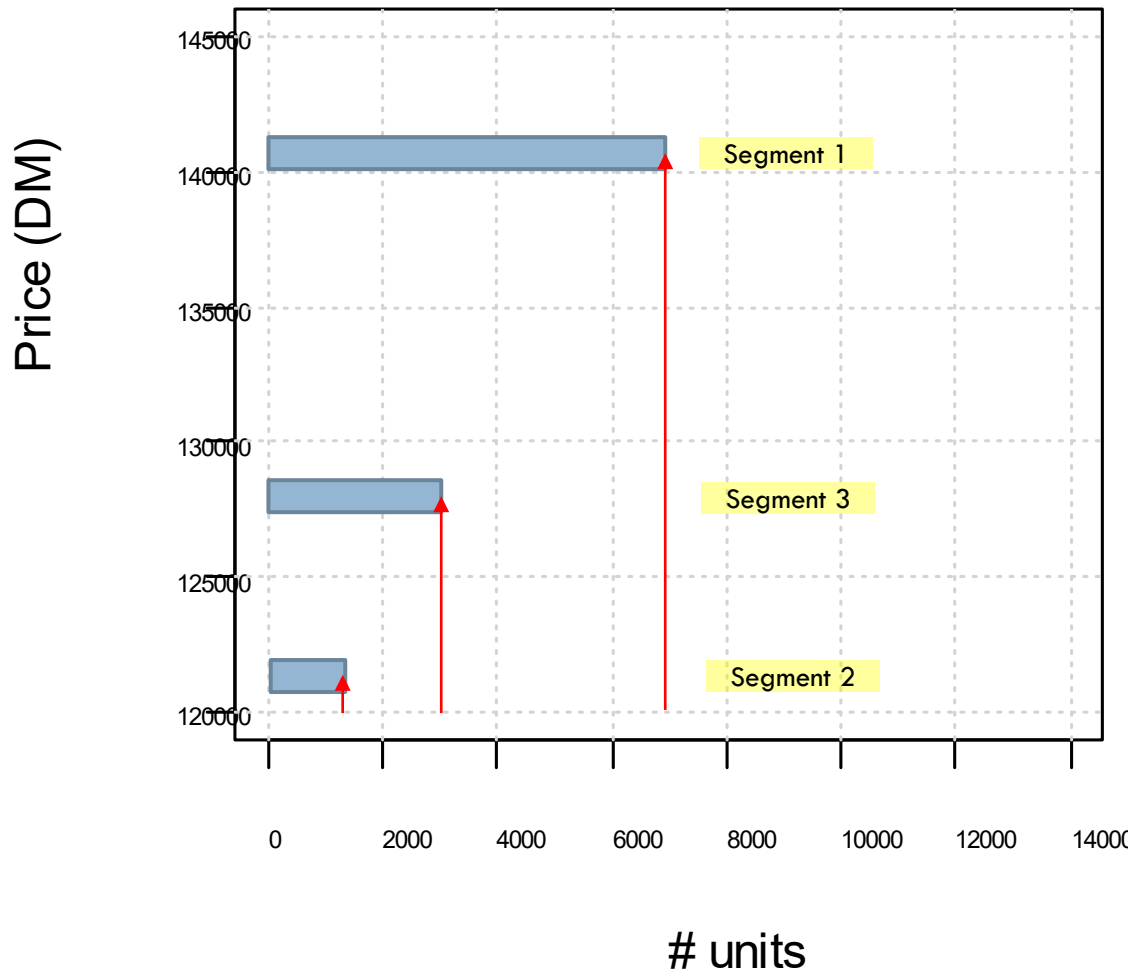
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An EVC case study

Kone - The Monospace Launch

15



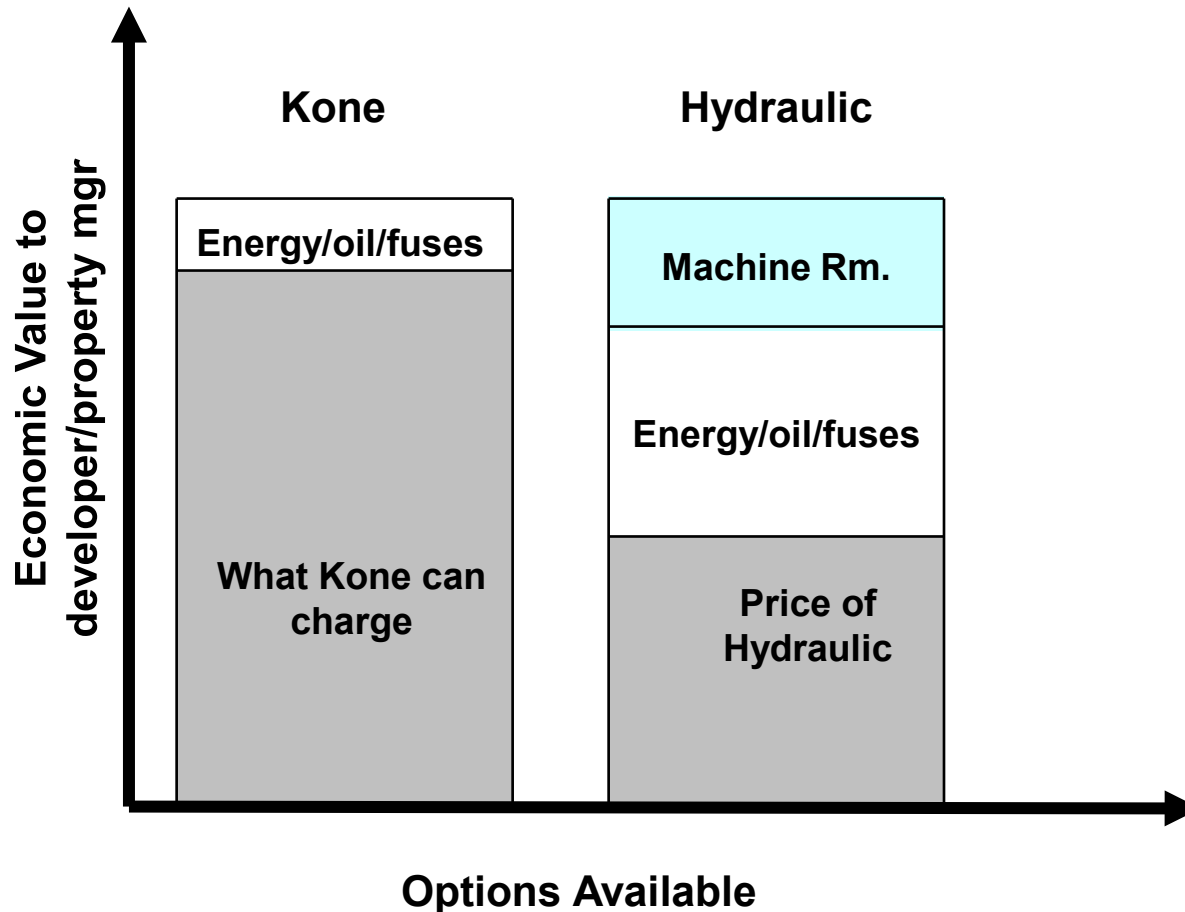
EVC & crude data
preliminary analytics on

1. Objective **value** to customers
2. pricing power by segment

Kone: Decomposing the Value

example: segment 1

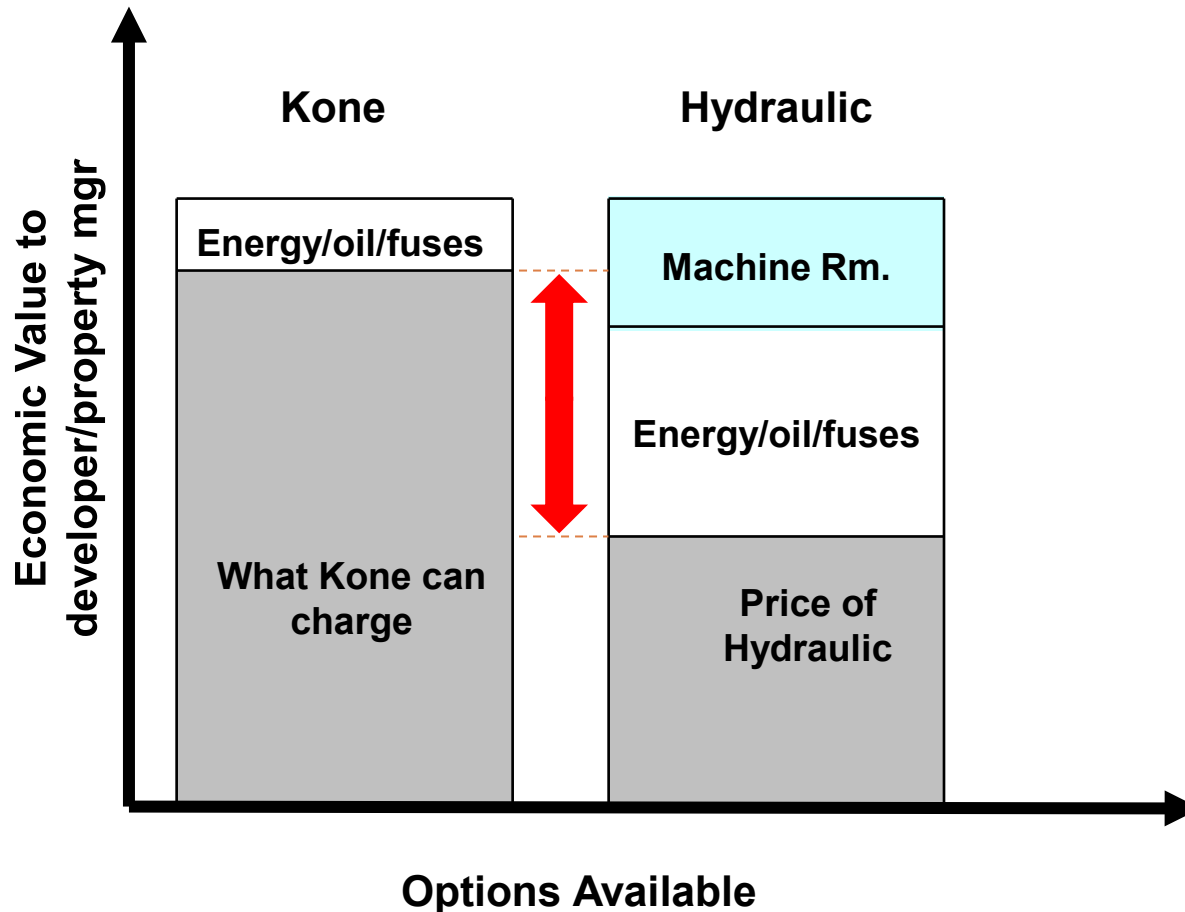
16



Kone: Decomposing the Value

example: segment 1

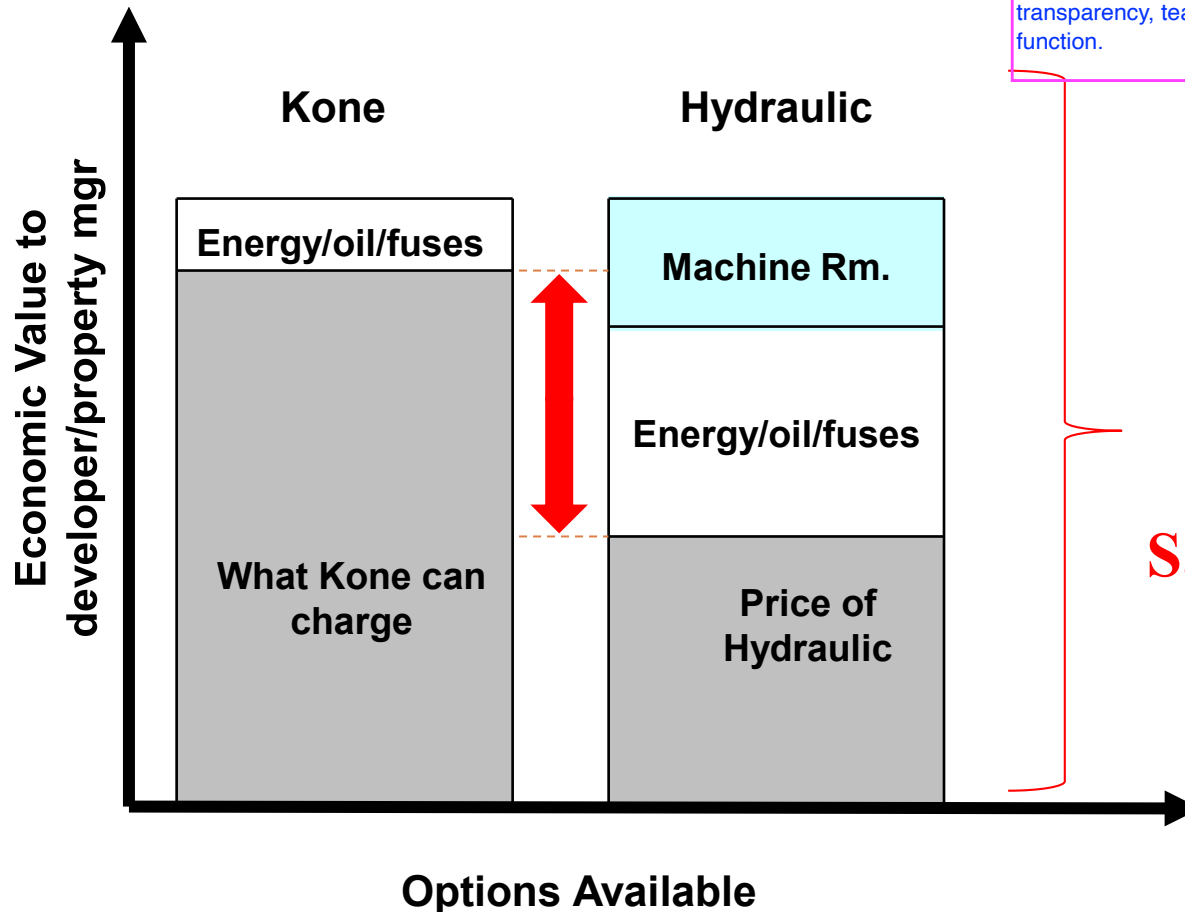
16



Kone: Decomposing the Value

example: segment 1

16



Do up these analytics in good detail will avoid the customer having a 'sticker' shock.

transparency, teaching the customer on their utility function.

**Customer
insight
&
Sales Material**

EVC as an analytic tool

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- Kone conducted EVC “by hand:” *case study approach*
- EVC case studies more practical in B2B settings, like industrial supply, with small number of measurable performance attributes
- Consumer goods: product features/benefits often intangible
 - ▣ Brand/reputation
 - ▣ Service
- B2C industries: **Conjoint Analysis** is an approach used to measure the differentiation value (also used in services industries)
 - ▣ See extra slides & lecture on conjoint analysis

Coordinating the 4Ps to create EVC

This is marketing in a nutshell

18

- Marketers use the 4 Ps to create, manage & monetize value



Use 4**P**s to drive WTP!

Coordinating the 4Ps to create EVC

This is marketing in a nutshell

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Use 4**P**s to drive WTP!

See Appendix for examples of 4 **P**s and value creation

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II. EVC, Demand & the Monetizable Opportunity



EVC and Demand

20

- So far, only defined willingness-to-pay (i.e., EVC) of a customer
- Suppose unit cost for a Kone elevator is 65,200 DM
- ? Let's use our EVC measures to set the **Monospace list price**

EVC and Demand

20

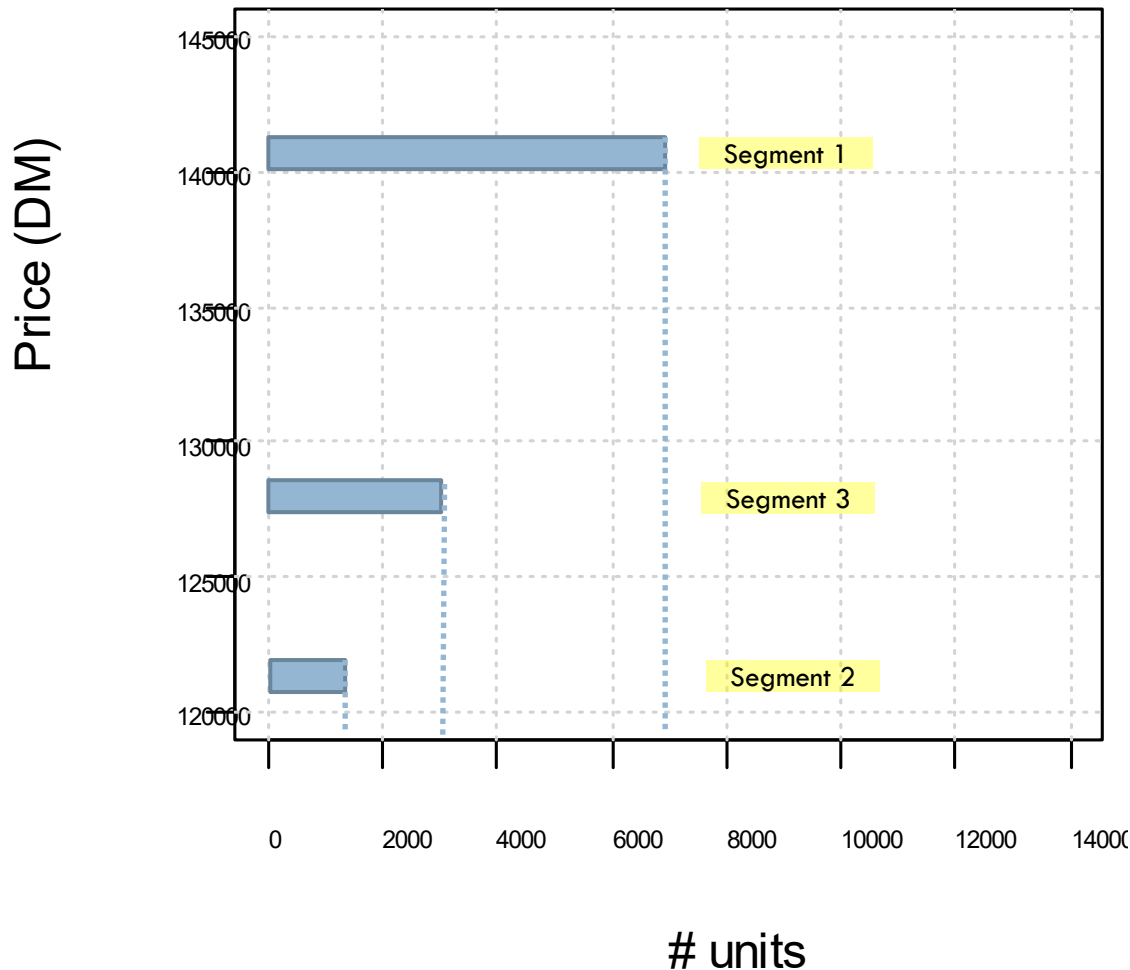
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The **Uniform Pricing** Structure

EVC & Pricing Trade-offs

Example: Kone Monospace Launch

21



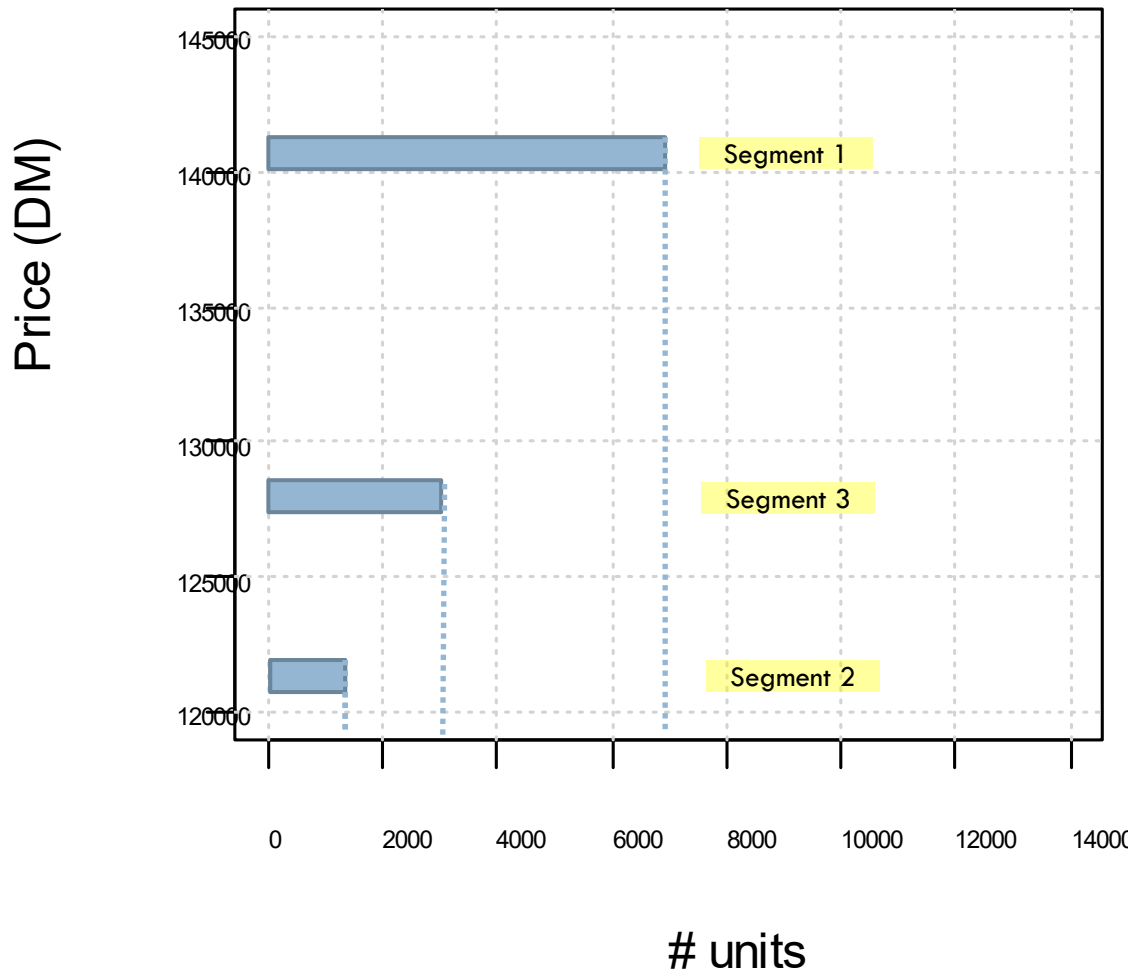
What are the pricing trade-offs?

unit cost
65,200 DM

EVC & Pricing Trade-offs

Example: Kone Monospace Launch

22



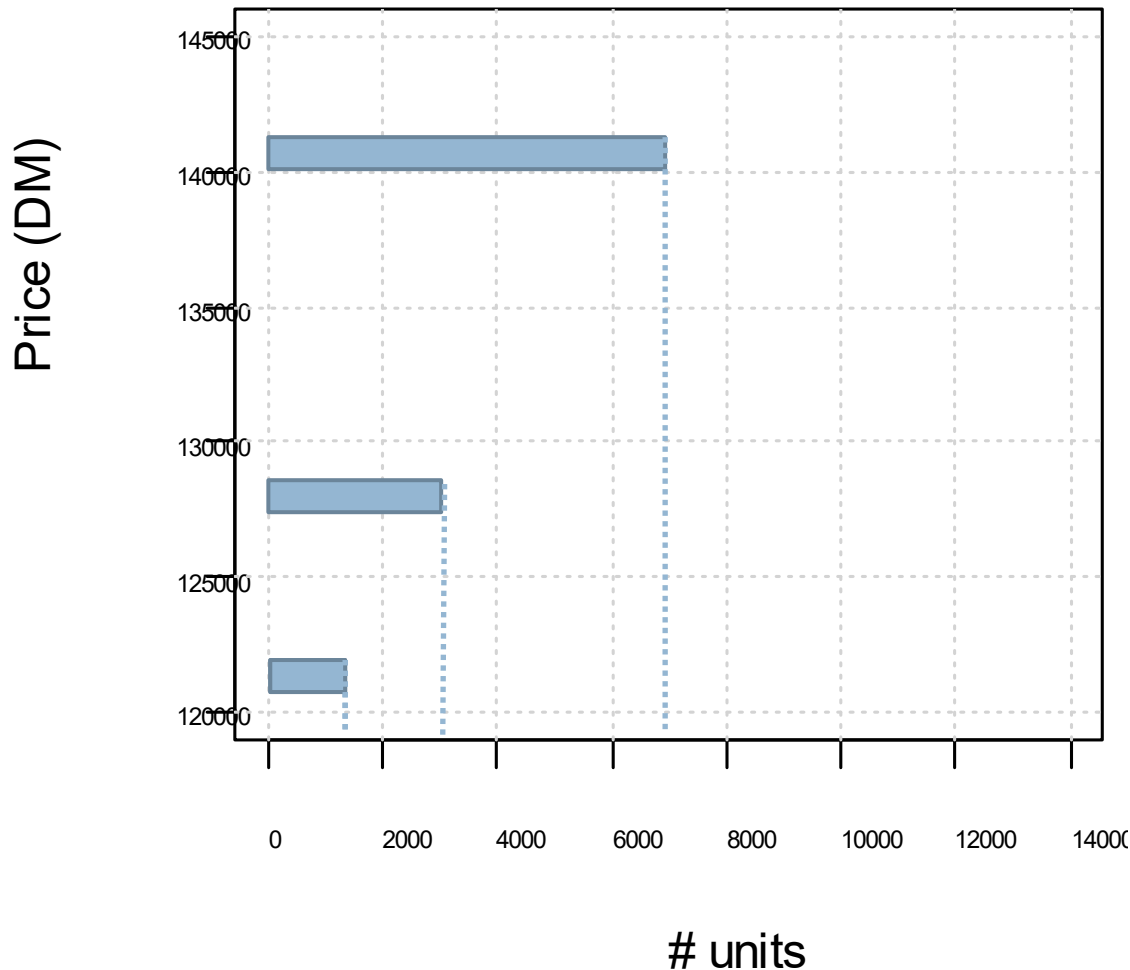
What does a demand curve look like?

unit cost
65,200 DM

EVC & Pricing Trade-offs

Example: Kone Monospace Launch

22



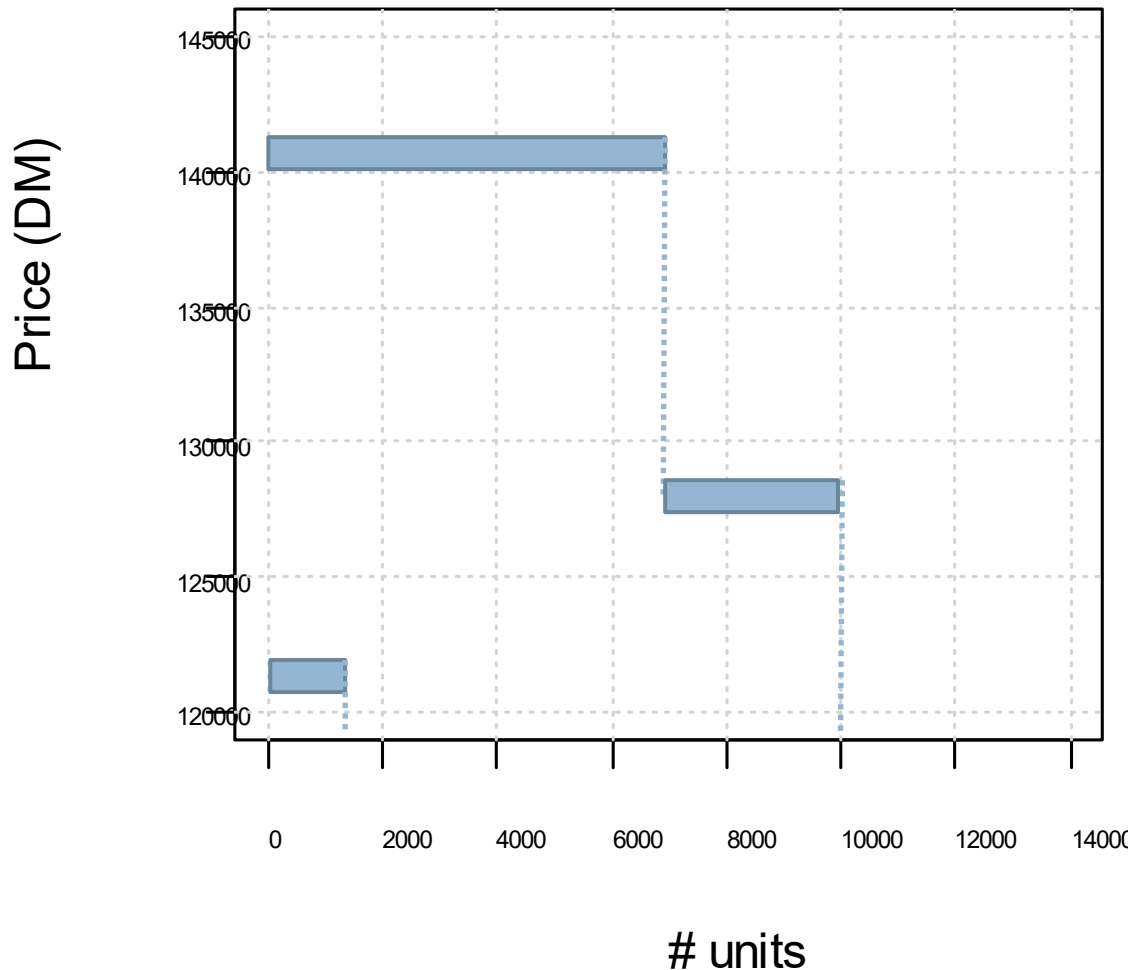
What does a demand curve look like?

unit cost
65,200 DM

Deriving Demand from EVC

Example: Kone Monospace Launch

23

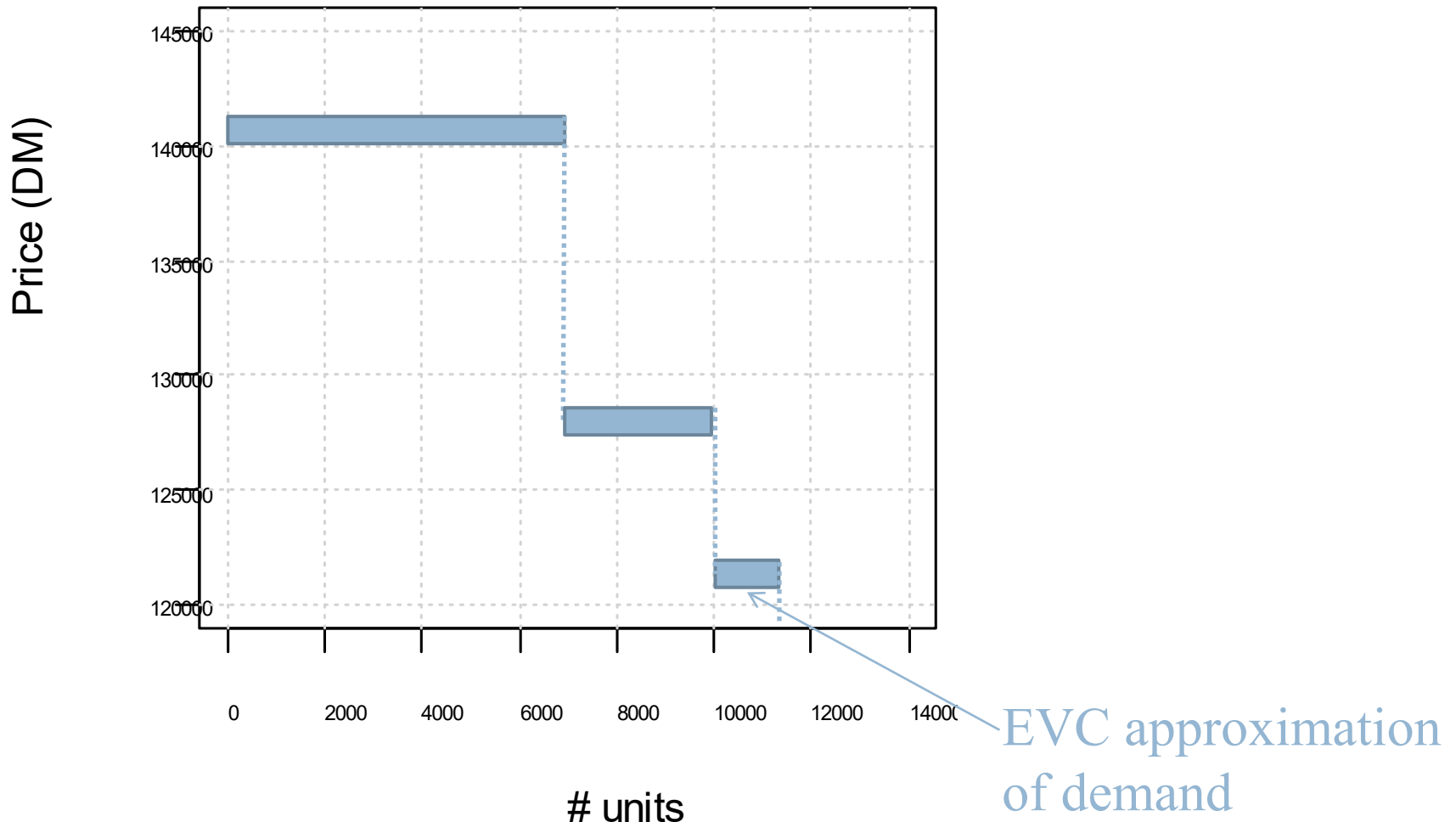


unit cost
65,200 DM

Deriving Demand from EVC

Example: Kone Monospace Launch

24

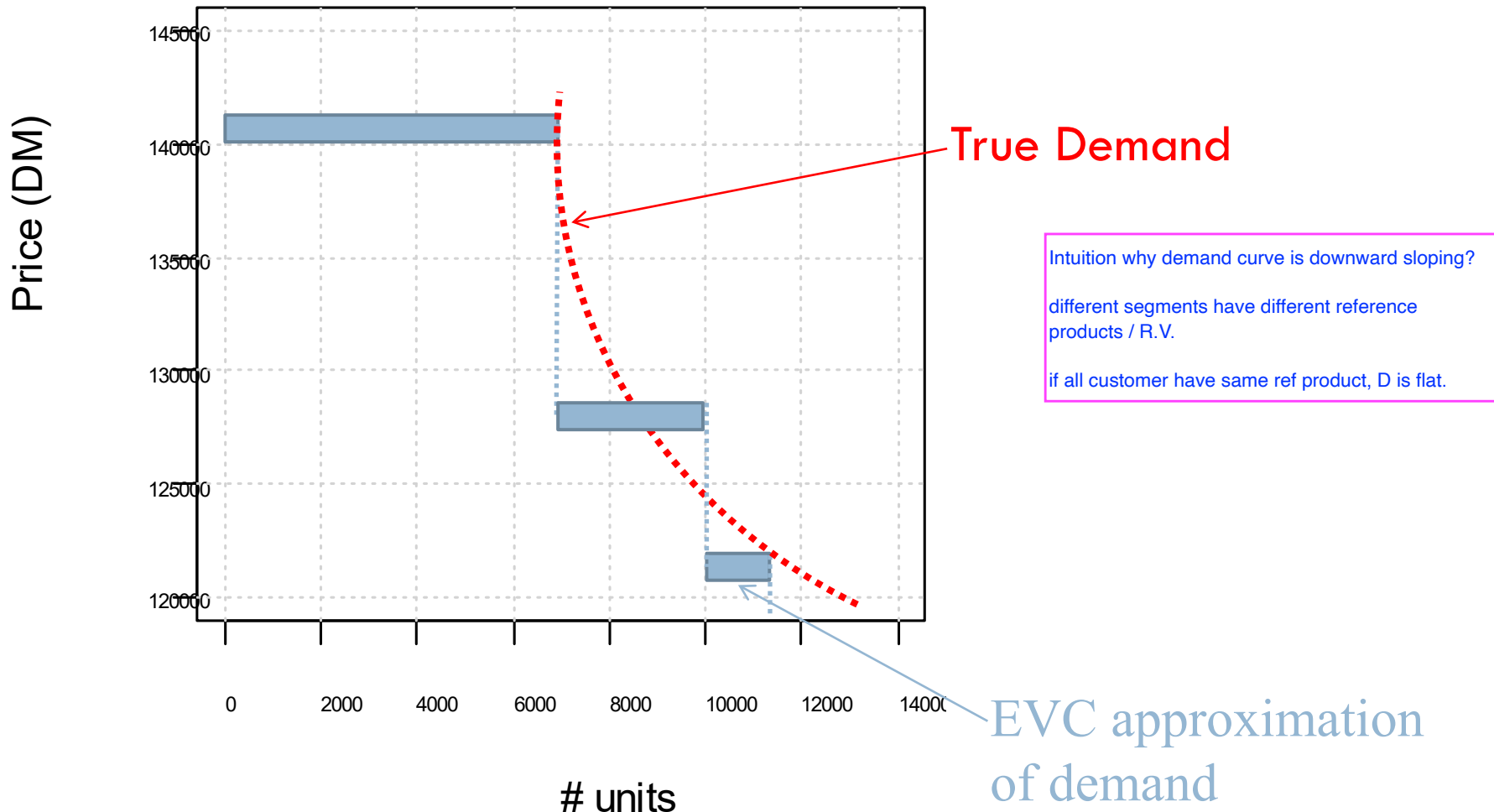


unit cost
65,200 DM

Deriving Demand from EVC

Example: Kone Monospace Launch

24



unit cost
65,200 DM

III. Demand and Optimal Pricing



The Pricing Decision

Setting the Profit-Maximizing Price

26

Business Objective

Set price (p) to maximize variable profit:

$$(p - c) \times Q(p)$$

How do i buy market share? i have to lower prices.
But then again, i aim to maximise profits. how?

Note: some firms claim to maximize share. Does that objective make sense?

→ see “New Model: At Ford Motor, High Volume Takes Backseat to Profits” *WSJ*, May 2004.

The Pricing Decision

Setting the Profit-Maximizing Price

26

Business Objective

Set price (p) to maximize variable profit:

$$(p - c) \times Q(p)$$

These are the **data** and **quantitative measurements** you need for pricing

This is the **marginal** (i.e., unit) **cost**

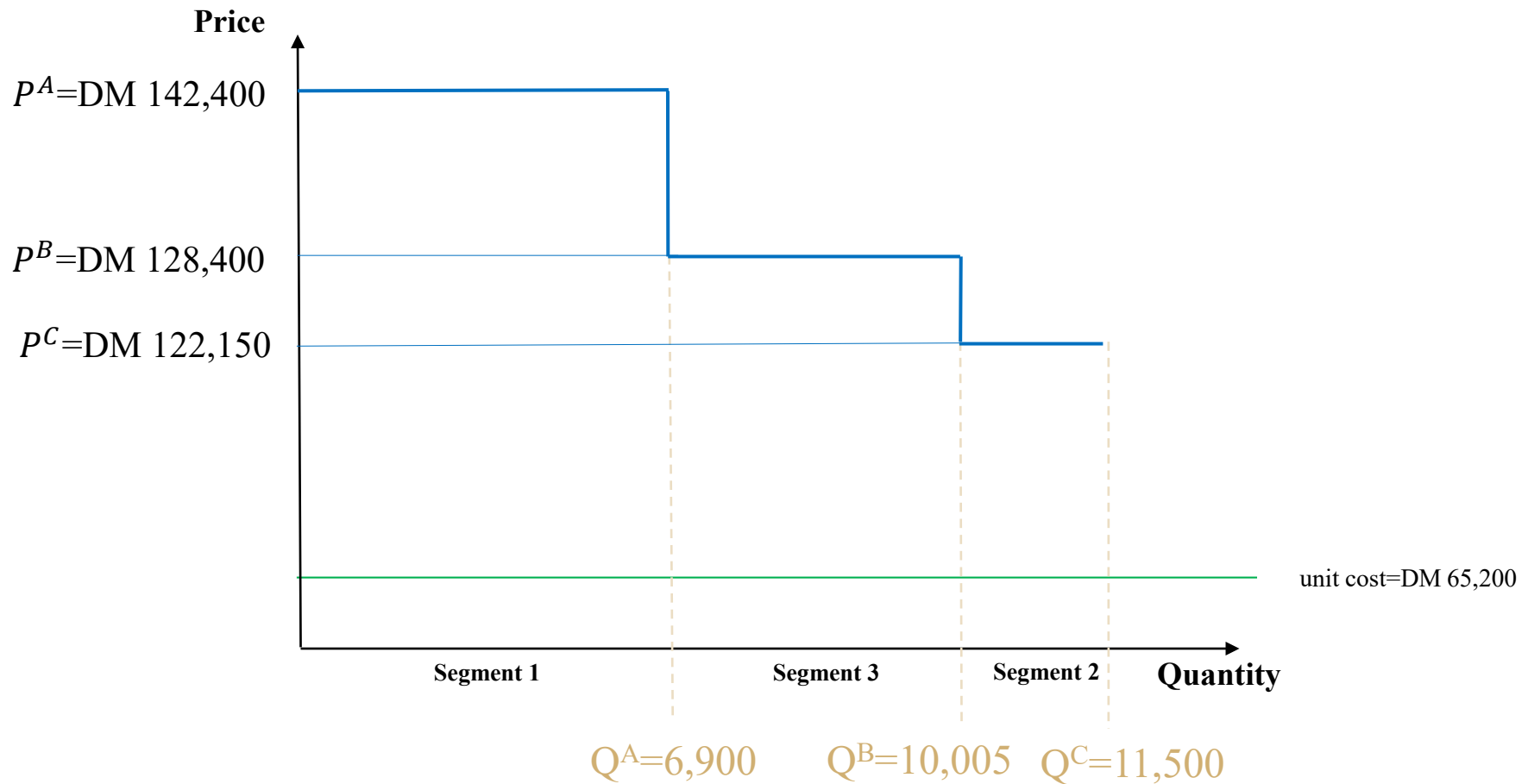
This is the **demand** relationship between Q and p

Note: some firms claim to maximize share. Does that objective make sense?

→ see “New Model: At Ford Motor, High Volume Takes Backseat to Profits” *WSJ*, May 2004.

The Kone Pricing Decision

27

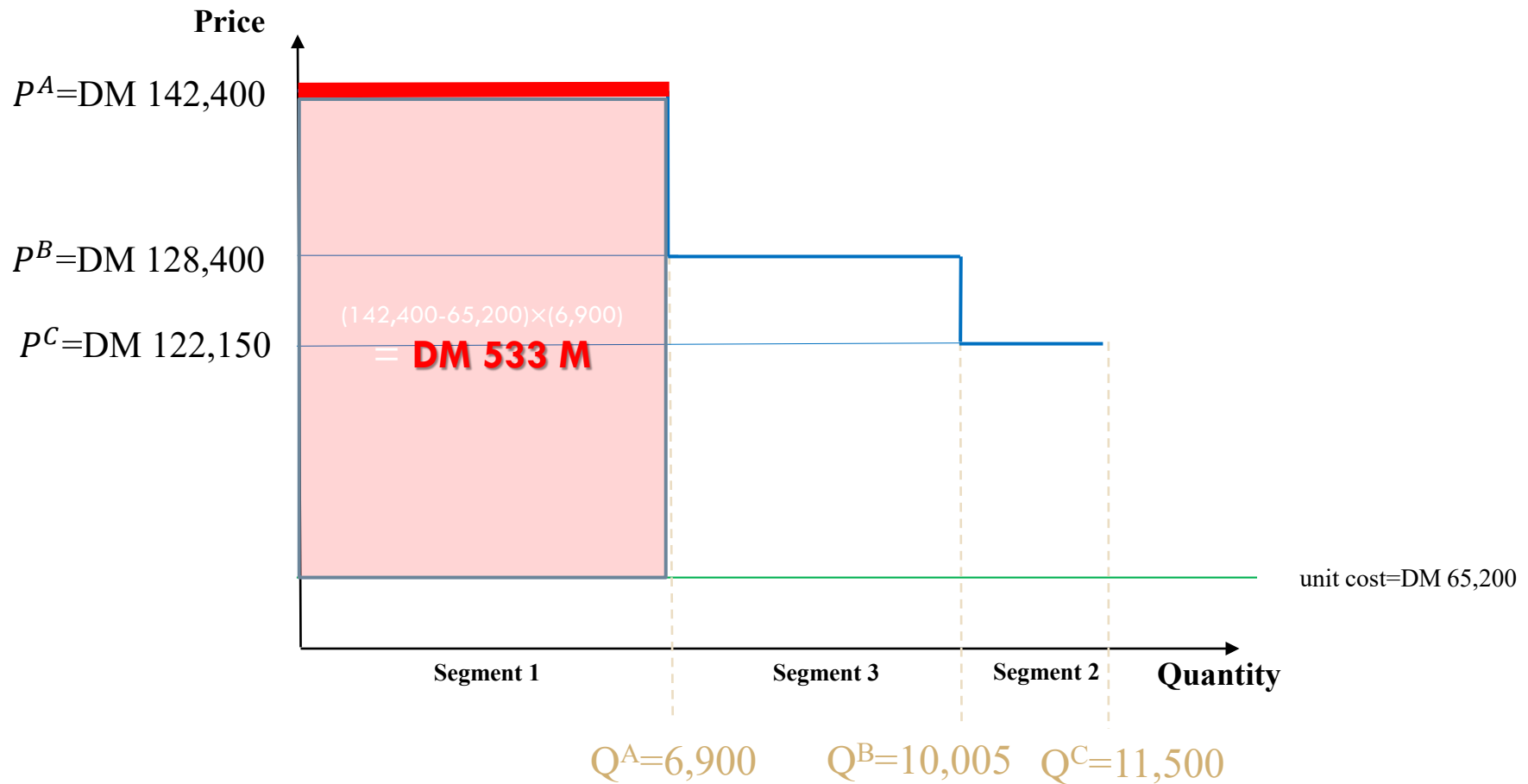


$P^* = \text{most profitable of } \{P^A, P^B, P^C\}$

$$\text{profit}(P^A) = (P^A - 65,200) \times Q^A$$

The Kone Pricing Decision

27

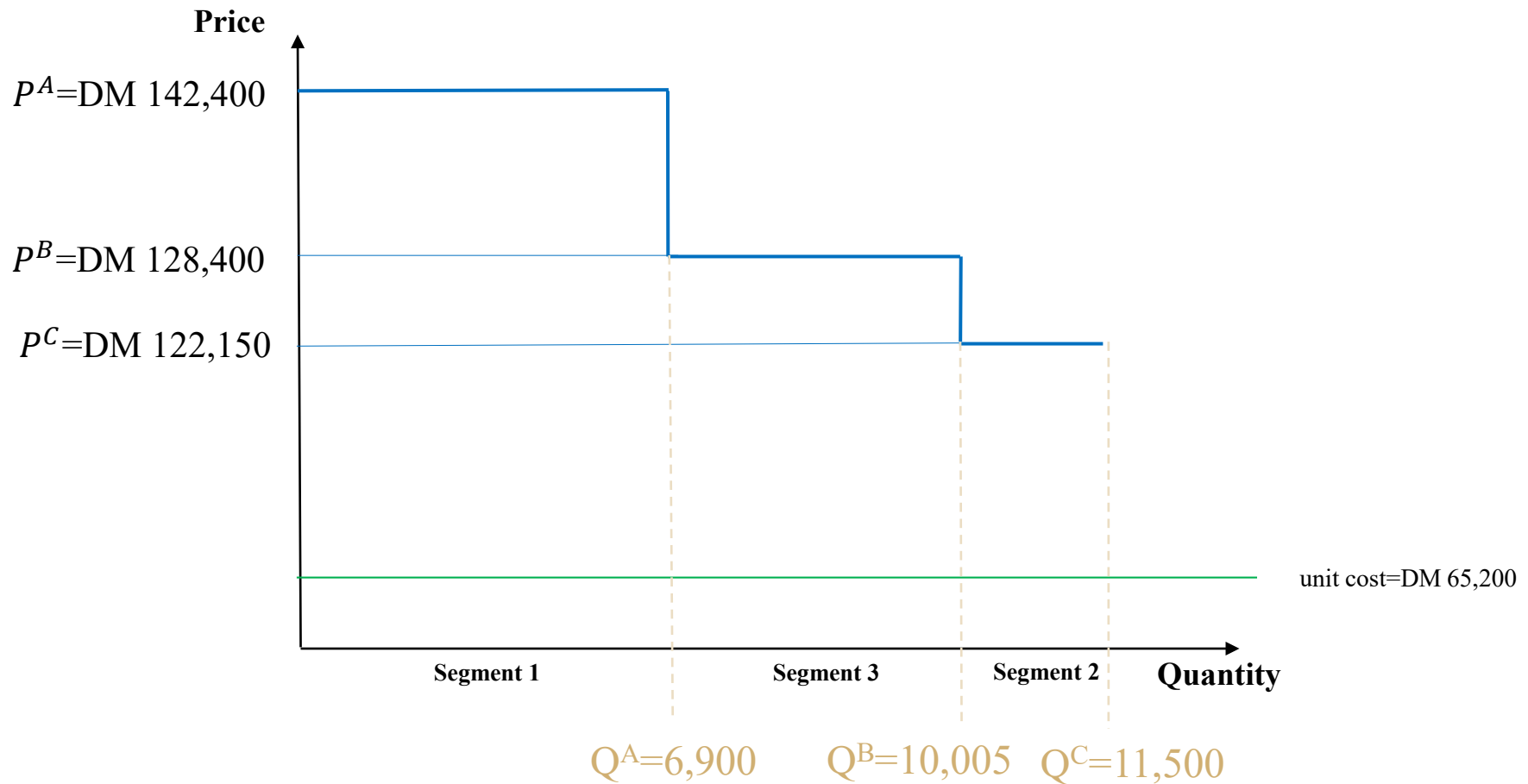


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The Kone Pricing Decision

28

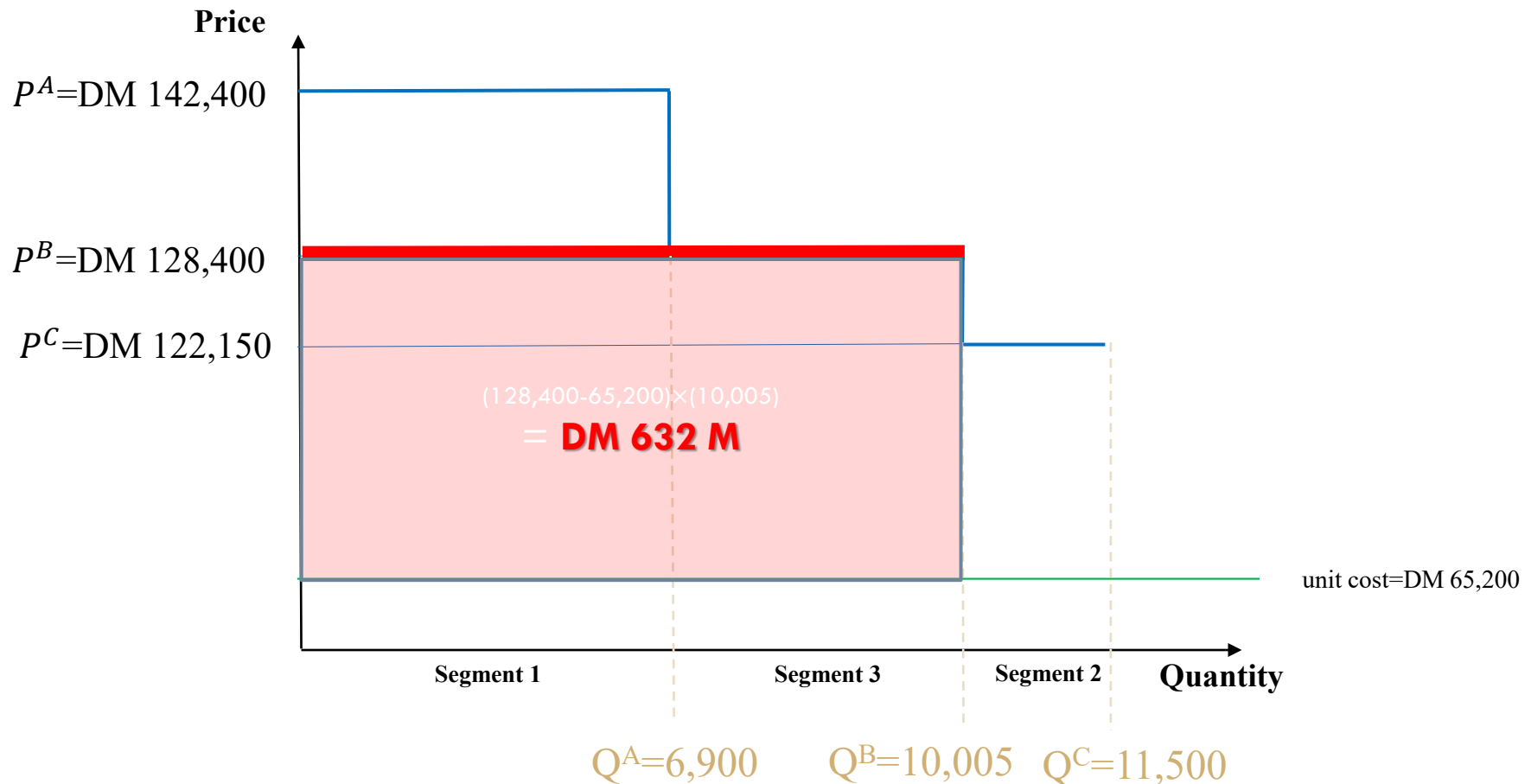


$P^* = \text{most profitable of } \{P^A, P^B, P^C\}$

$$\text{profit}(P^B) = (P^B - 65,200) \times Q^B$$

The Kone Pricing Decision

28

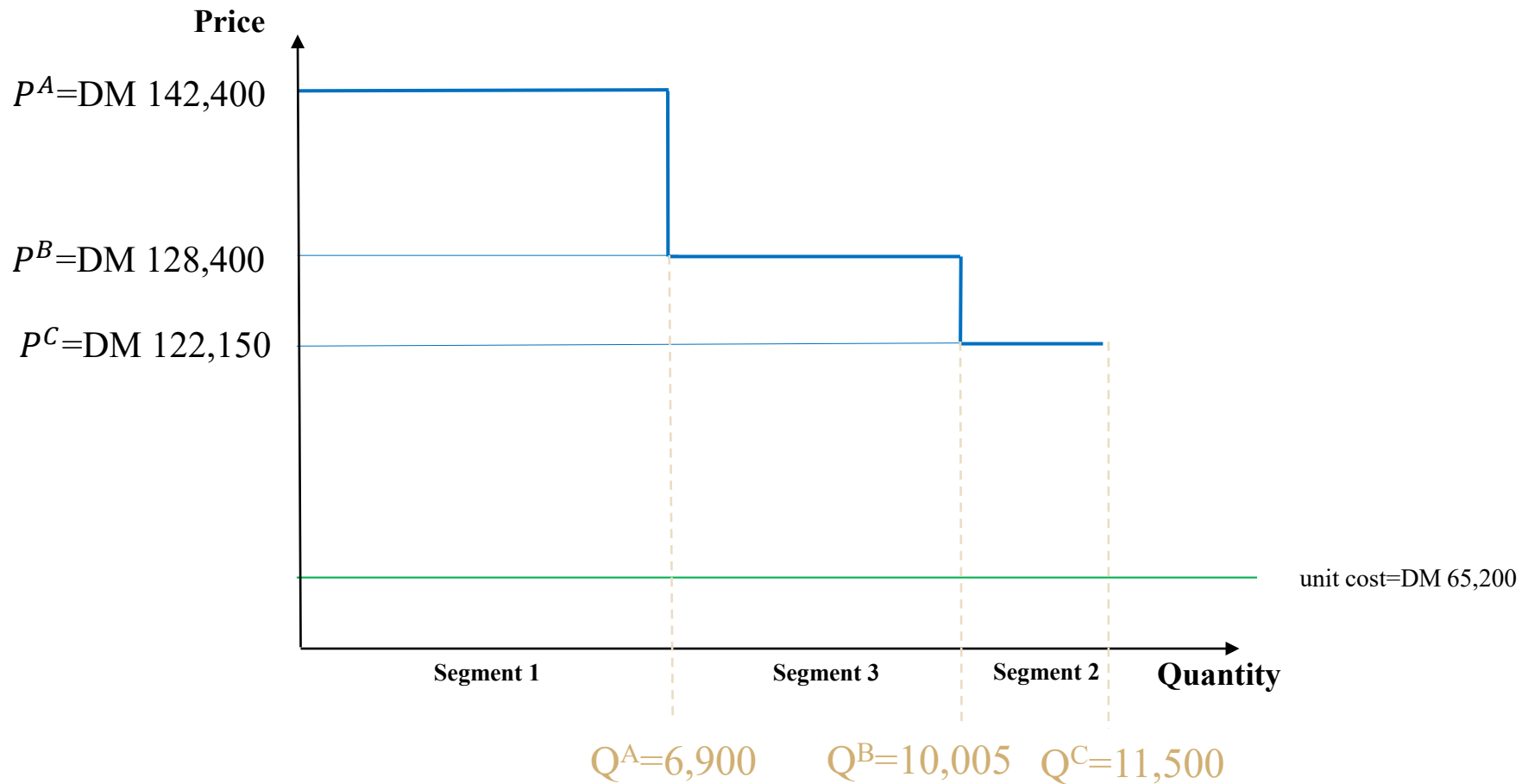


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The Kone Pricing Decision

29

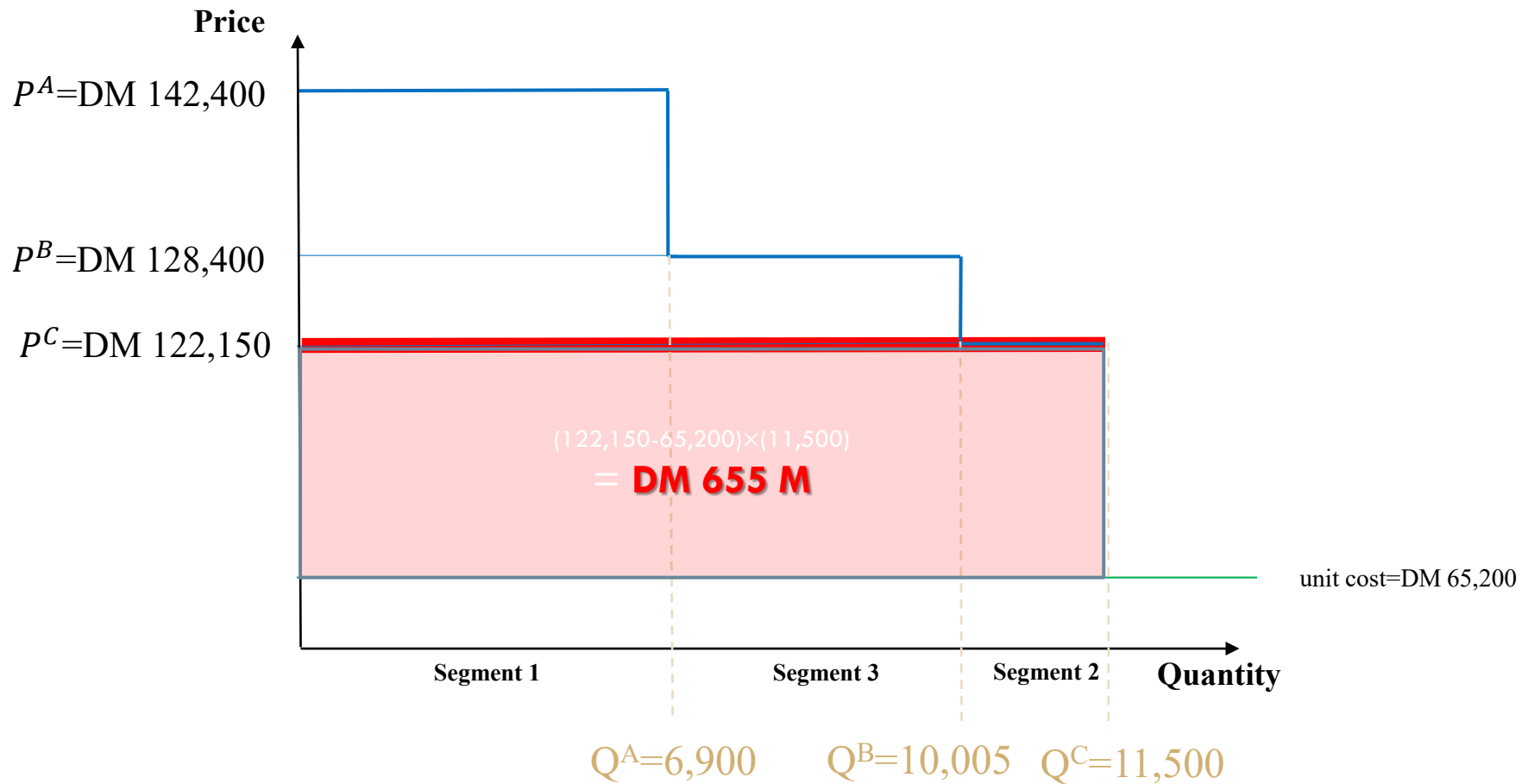


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The Kone Pricing Decision

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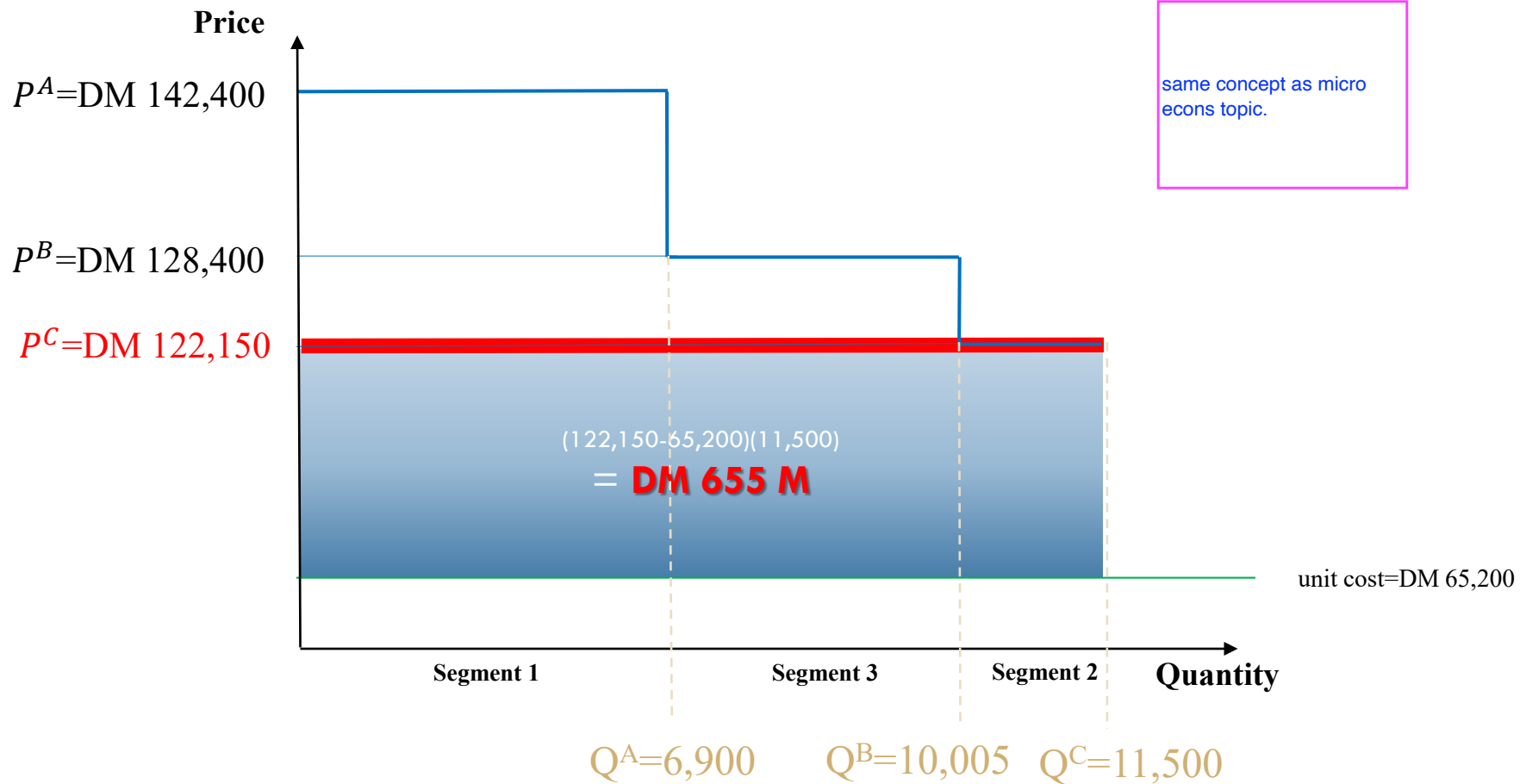


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The Kone Pricing Decision

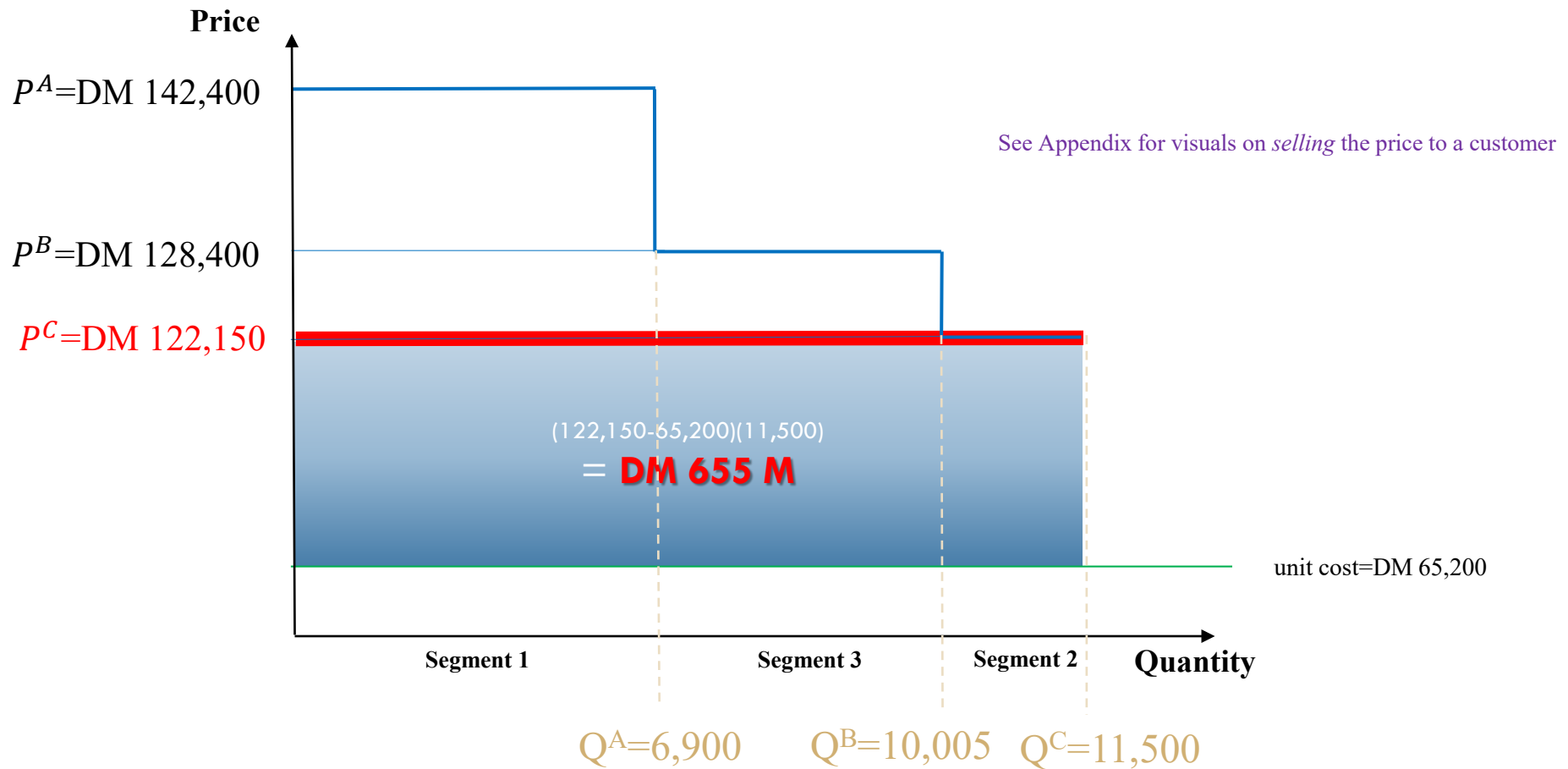
30



Optimal Price: DM 122,150

The Kone Pricing Decision

30



Optimal Price: DM 122,150

Pricing & Value

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Our pricing decision balanced:

- ▣ **Value** (via EVC)
- ▣ **Competition** (via EVC)
- ▣ **Costs**

Demand Measurement

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- Demand measurement is major obstacle to **optimized** pricing
- There are alternative **methods**:
 - ▣ Measure EVC via expert judgment & case study
(today, CMI Case)
 - ▣ Regression analysis of point-of-sale data
(module 2 & **extra** slides, stats course)
 - ▣ Price Experiments
(module 2)
 - ▣ Conjoint Analysis
(**extra** slides)

Take Away

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- **EVC** is a conceptual framework for the **Value Proposition**
 - ▣ Highly useful qualitatively
 - ▣ In some instances, also useful quantitatively
 - ▣ We will use EVC throughout modules to guide our thinking
- The **Uniform Pricing** structure
 - ▣ To tie marketing decisions to **value**, you must know **demand**
 - E.g., use demand to set profit-maximizing price!
 - ▣ Balancing act: **value**, costs & competition
 - └─ day 2
 - └─ day 3

Appendix: Identifying and Measuring Differentiation Value & the 4P's



Sources of Customer Value

35

	Segment 1	Segment 2
Availability		
Convenience		
Functionality		
Relationship		
Exclusivity		

Sources of Customer Value

35

There may be more than 2 segments →

	Segment 1	Segment 2
Availability		
Convenience		
Functionality		
Relationship		
Exclusivity		

Sources of Customer Value

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	Segment 1	Segment 2
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Sources of Customer Value

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Exclusivity		

- Ideally, measure in \$ equivalents (contribution to total WTP)

Sources of Customer Value

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	Segment 1	Segment 2
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Relationship		
Exclusivity		

- Ideally, measure in \$ equivalents (contribution to total WTP)
- Many firms use conjoint analysis (see extra slides)

Value Inhibitors

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	Segment 1	Segment 2
Time		
Place/Search Costs		
Risk		
Design Compromise		
Learning Costs		

Value Inhibitors

36

There may be more than 2 segments →

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Value Inhibitors

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Value Inhibitors

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Design Compromise		
Learning Costs		

- Be sure to account for EVC inhibitors

Value Inhibitors

36

	Segment 1	Segment 2
Time		
Place/Search Costs		
Risk		
Design Compromise		
Learning Costs		

- Be sure to account for EVC inhibitors
- Again these could be expressed in \$ equivalents

Coordinating the 4Ps to create EVC

This is marketing in a nutshell

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- Marketers use the 4 Ps to create, manage & monetize value



Use 4**P**s to influence WTP!

Brand Reputation and Perceived Value

Example: Large online Qatari pharmacy

69

ubuy.qa/en/brand/aspirin?q=aspirin

Top Categories — Electronics | Fashion & Jewellery | Kitchen & Dining | Books | Office Products

Home » Ubuy Qatar Online Shopping For aspirin in Affordable Prices.

RESULTS FOR - ASPIRIN

Sort By: Featured

PRICE RANGE

- ☐ QAR364 and under
- ☐ QAR364 to QAR910
- ☐ QAR910 to QAR1820
- ☐ QAR1820 to QAR3640
- ☐ QAR3640 and above

BRAND

- ☐ Bayer
- ☐ Simply Right
- ☐ Good Sense
- ☐ Kirkland Signature
- ☐ Medique
- ☐ Geri-Care Pharmaceuticals

Basic Care Aspirin Regular Strength Tablets, 325mg, 500 Count
QAR 31

Aspirin Regimen Bayer 81mg Enteric Coated Tablets | #1 Doctor Recommended
QAR 54 QAR 59

Kirkland Signature Low Dose Aspirin, 1 Bottle - 365Count Enteric Coated Tablets
QAR 34

Brand Reputation and Perceived Value

Example: Large online Qatari pharmacy

70

ubuy.qa/en/brand/aspirin?q=aspirin

Top Categories — Electronics | Fashion & Jewellery | Kitchen & Dining | Books | Office Products

Home » Ubuy Qatar Online Shopping For aspirin in Affordable Prices.

RESULTS FOR - ASPIRIN

Apply Filter Remove Filter

Sort By Featured

PRICE RANGE

- ☐ QAR364 and under
- ☐ QAR364 to QAR910
- ☐ QAR910 to QAR1820
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BRAND

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Brand Reputation and Perceived Value

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- ☐ QAR3640 and above

BRAND

- ☐ Bayer
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- ☐ Kirkland Signature
- ☐ Medique
- ☐ Geri-Care Pharmaceuticals

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QAR 31

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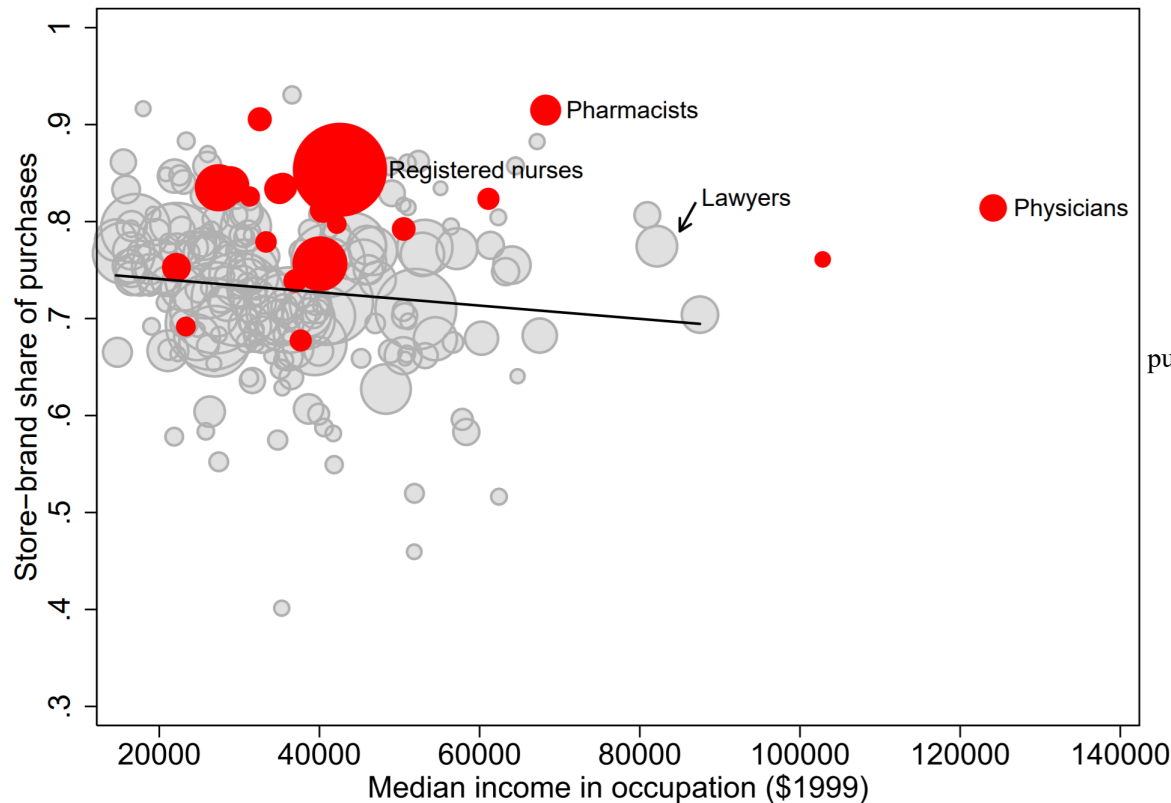
Copypat store brand has same active ingredient & similar packaging as Bayer brand.

How much of this 74% price premium is just misinformation?

Brand Reputation & Perceived Value

Experts aren't fooled

39



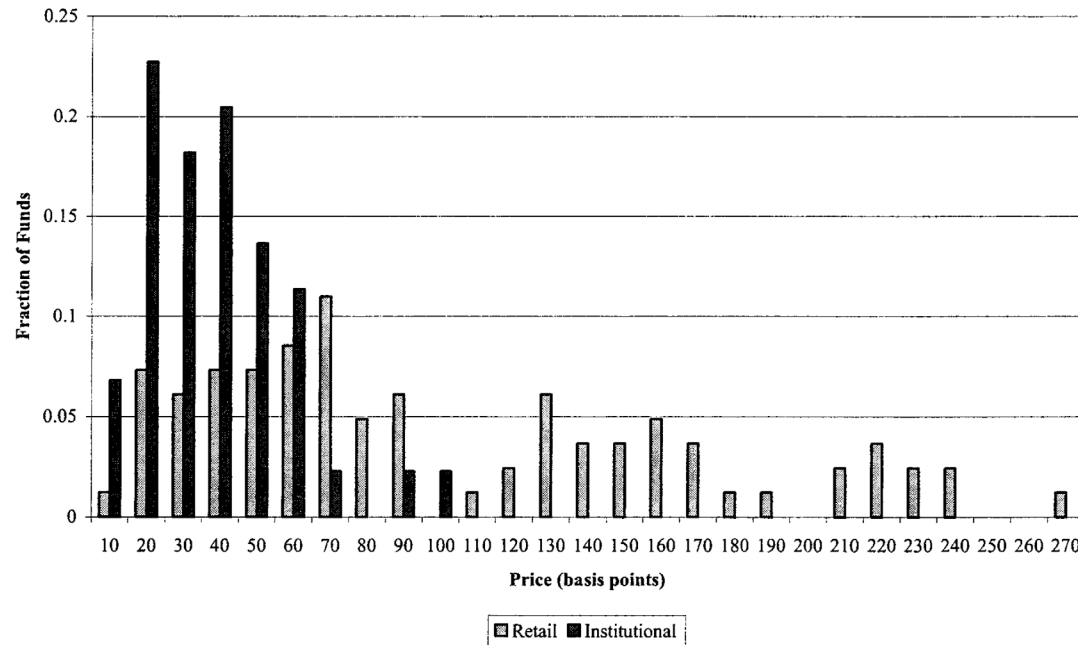
Big Data
purchases for over 100,000 US households

- Pharmacists buy 91% unbranded headache medicines
- Average non-healthcare worker buys only 74% unbranded

Brand Reputation & Perceived Value

Brands also matter in Financial Services!

40



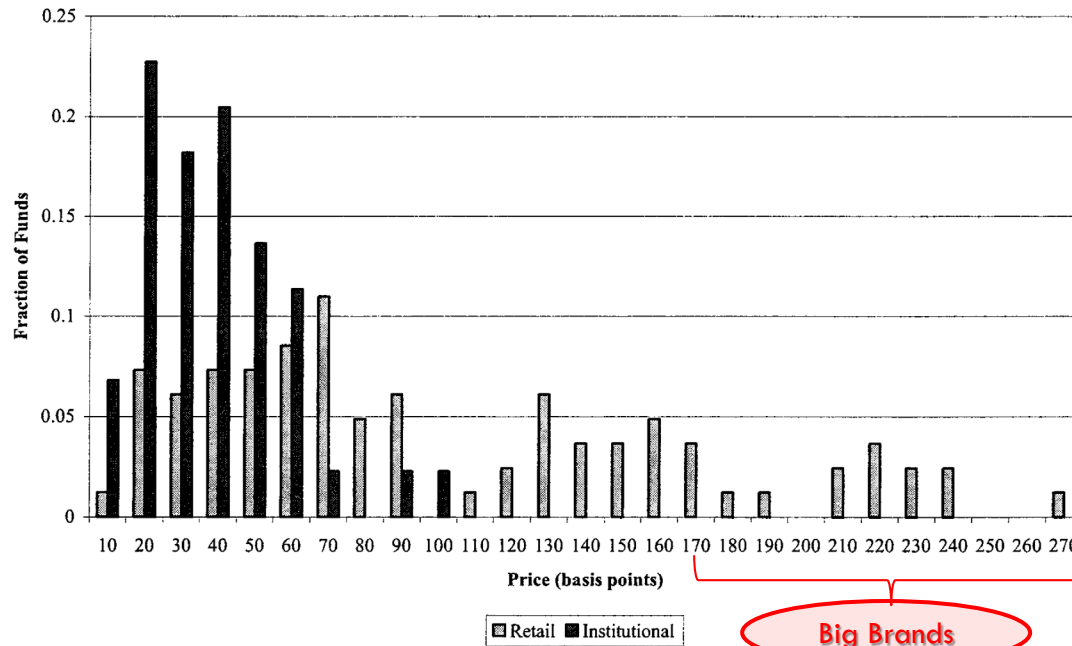
82 undifferentiated products in US in 2000

Prices for Retail and Institutional S&P 500 Index Funds in 2000
(annual fees + 1/7th of total loads)

Brand Reputation & Perceived Value

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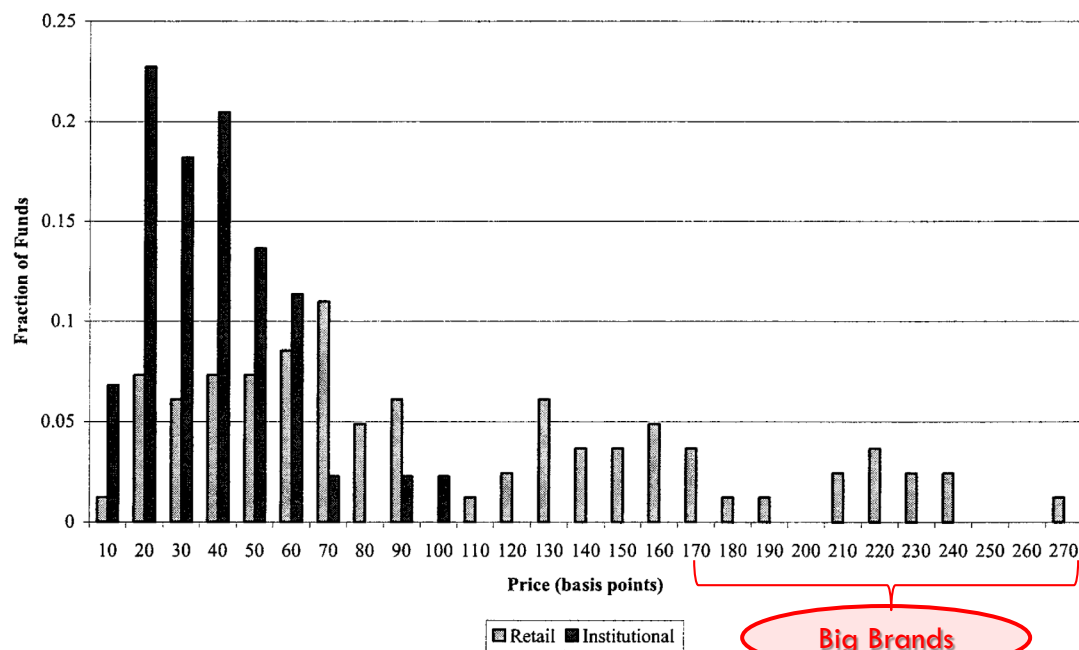
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Brand Reputation & Perceived Value

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Prices for Retail and Institutional S&P 500 Index Funds in 2000
(annual fees + 1/7th of total loads)

82 undifferentiated products in US in 2000



- 90th percentile price = 10 × 10th percentile price
- Top decile share grew 5 pct points from 1995 to 2000
(lowest decile fell 10 pct points!)

Packaging can Communicate Value

Plain Packaging in Australia

41

- Packaging can affect perceptions and WTP

Packaging can Communicate Value

Plain Packaging in Australia

41

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- \$150,000 (1950s) on research to reposition Marlboro cigarette packaging to male consumers
 - ▣ 120 designs were researched and tested
 - ▣ “red packs connote strong flavor ...white packs suggest that a cigarette is low tar”
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Plain Packaging in Australia

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before



Packaging can Communicate Value

Plain Packaging in Australia

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before

after



“Customers are continually complaining about the taste of their cigarettes and refuse to believe that the tobacco has not changed.”

The Australian Retail Tobacconist, 2013
Months after PP was enacted.

Direct Marketing can Communicate Value

Persuasive Advertising

43

- Persuasive advertising can affect WTP

Direct Marketing can Communicate Value

Persuasive Advertising

43

- Persuasive advertising can affect WTP
- A Direct Mail field experiment with South African Bank

A low rate for you.

Congratulations! As a valued client, you are now eligible for a low interest rate on your next cash loan from [redacted]. This is a limited time offer, so please come in by 30 November 2003 to take advantage of this offer.

You can use this cash to pay for school, or for anything else you want.

Enjoy low monthly repayments with this offer! Here is one example of a loan you can get under this offer:

Interest Rate	Loan Amount	Loan Term	Monthly Repayment
10.50%	R2000.00	4 Months	R710.00

LOAN AVAILABILITY SUBJECT TO TERMS & CONDITIONS

Loans available in other amounts. There are no hidden costs. What you see is what you pay.

If you borrow elsewhere you will pay R360.00 more in total on a R2000.00, 4 month loan.

How to apply:

Bring your ID book and latest payslip to your usual branch, by **30 November 2003** and ask for [redacted]

Names of clients, employees and Lender suppressed to preserve confidentiality.

Area Manager

P.S. Unfortunately, if you have already taken a loan since the date this letter was issued, you do not qualify for this offer. Comparison based on a competitor's interest rate of 15% per month.



Source: Bertrand et al (2010)

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Randomly switch image



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 - ▣ Switch to “*attractive woman*” increased loan applications by same amount as a 25% reduction in the interest rate charged.

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Randomly switch image



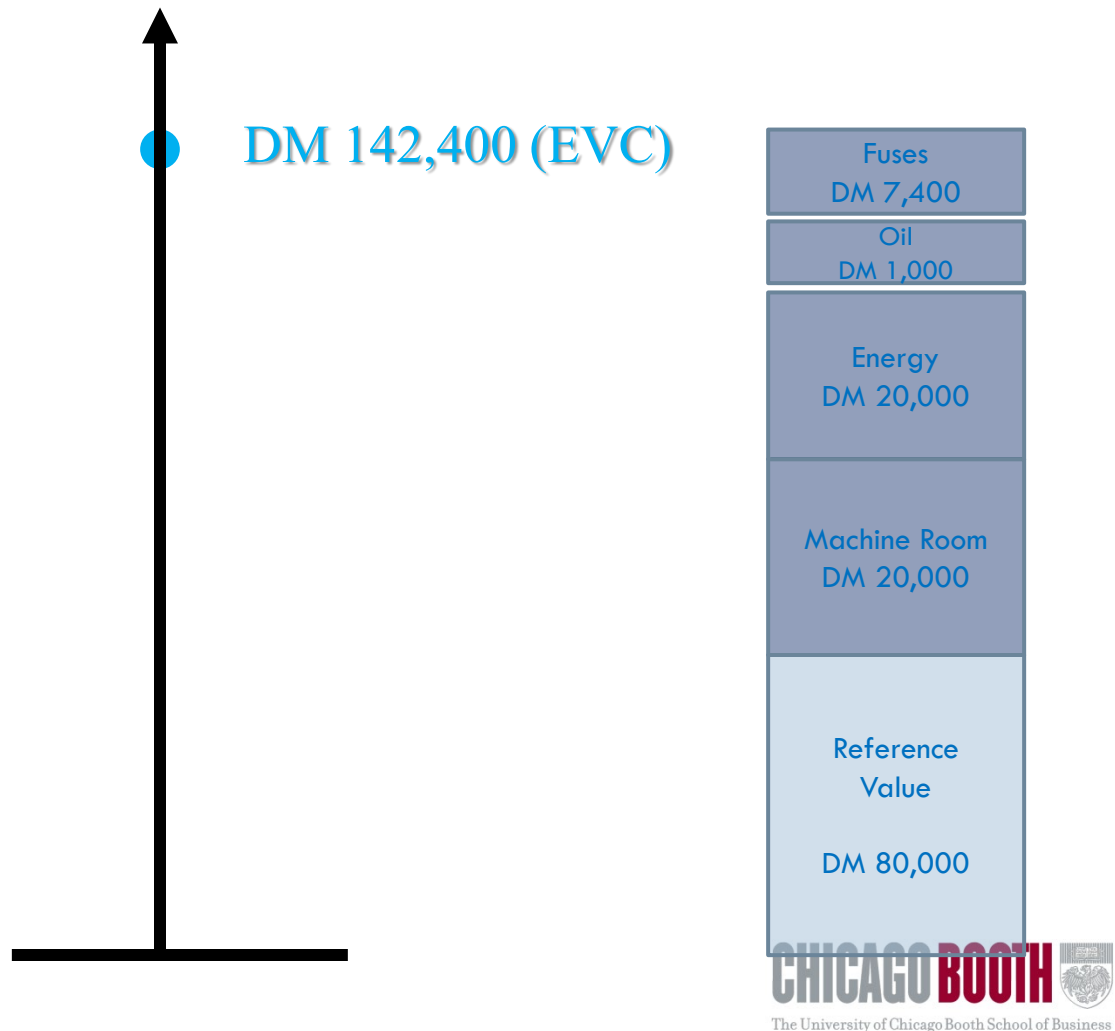
44

Kone Elevator

Selling the Price DM 122,150

“Selling” the price of DM122,150 segment 1 (PH)

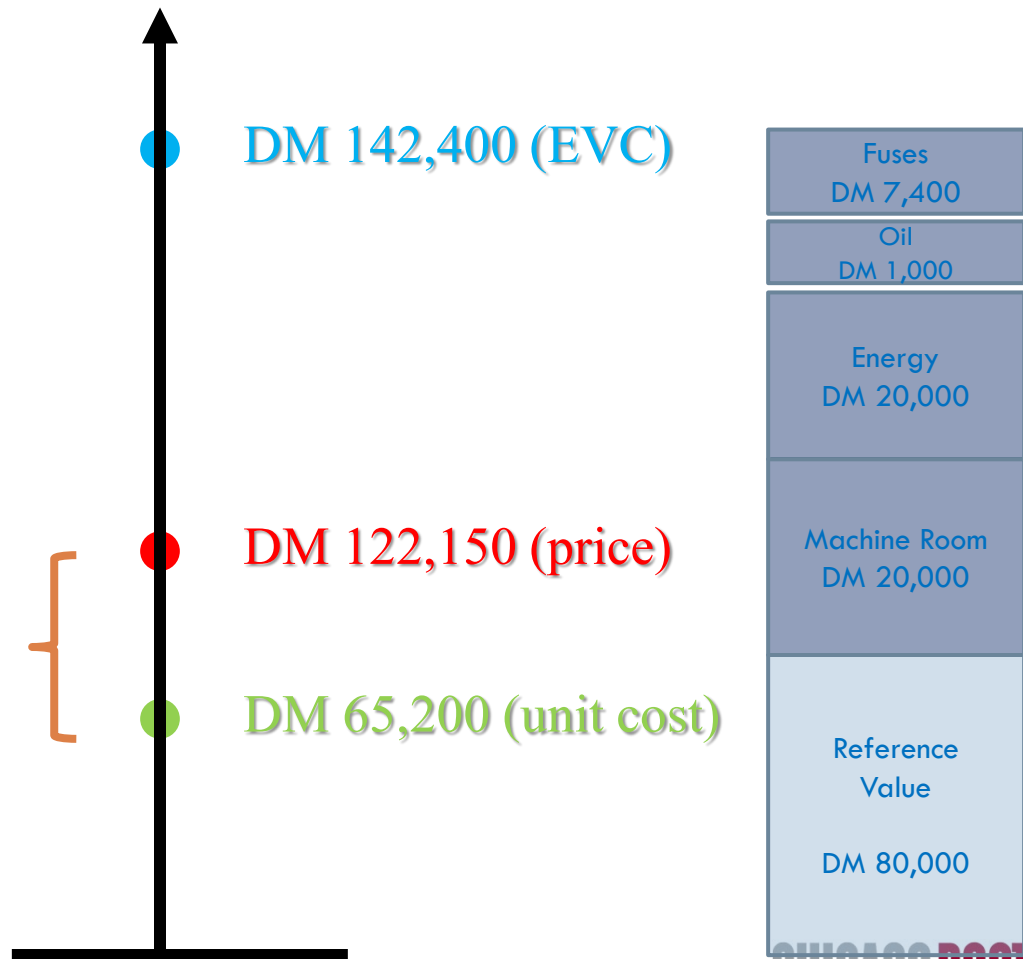
45



“Selling” the price of DM122,150 segment 1 (PH)

45

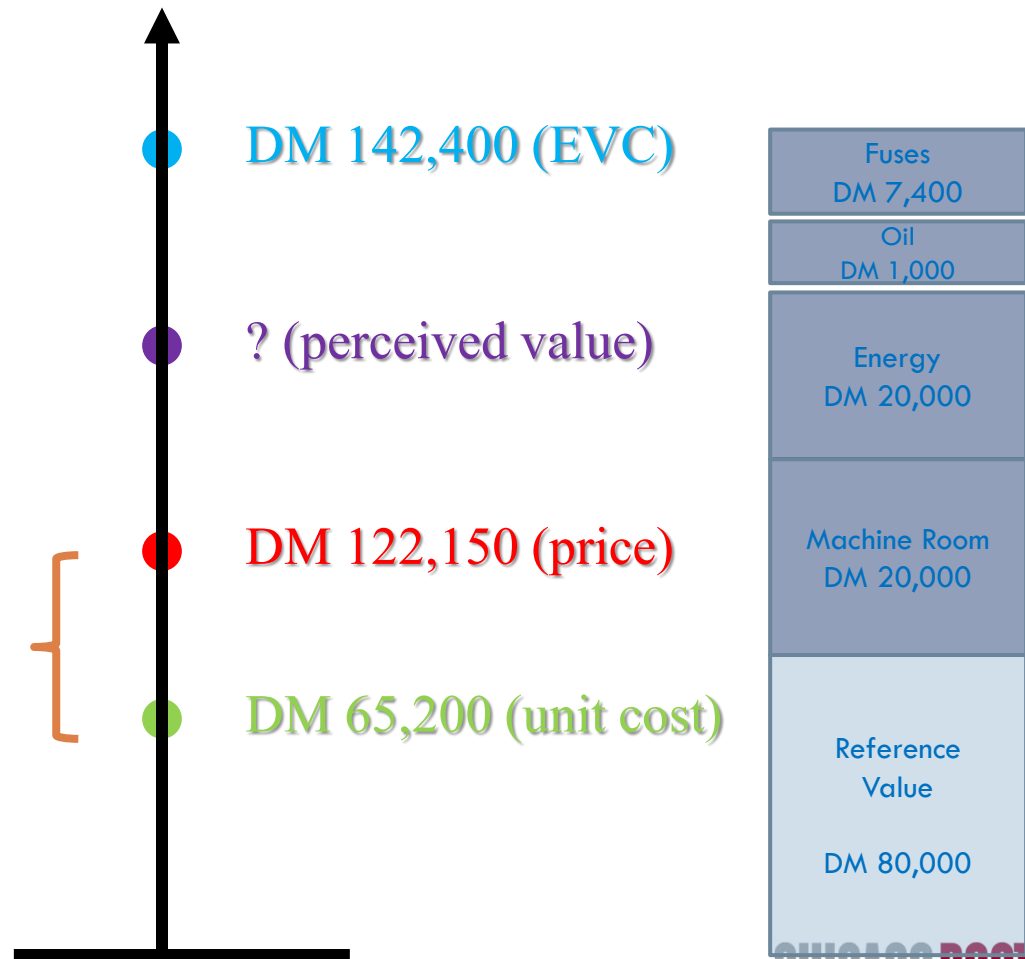
Kone's incentive to sell:
= price – cost
= 122,150 – 65,200



“Selling” the price of DM122,150 segment 1 (PH)

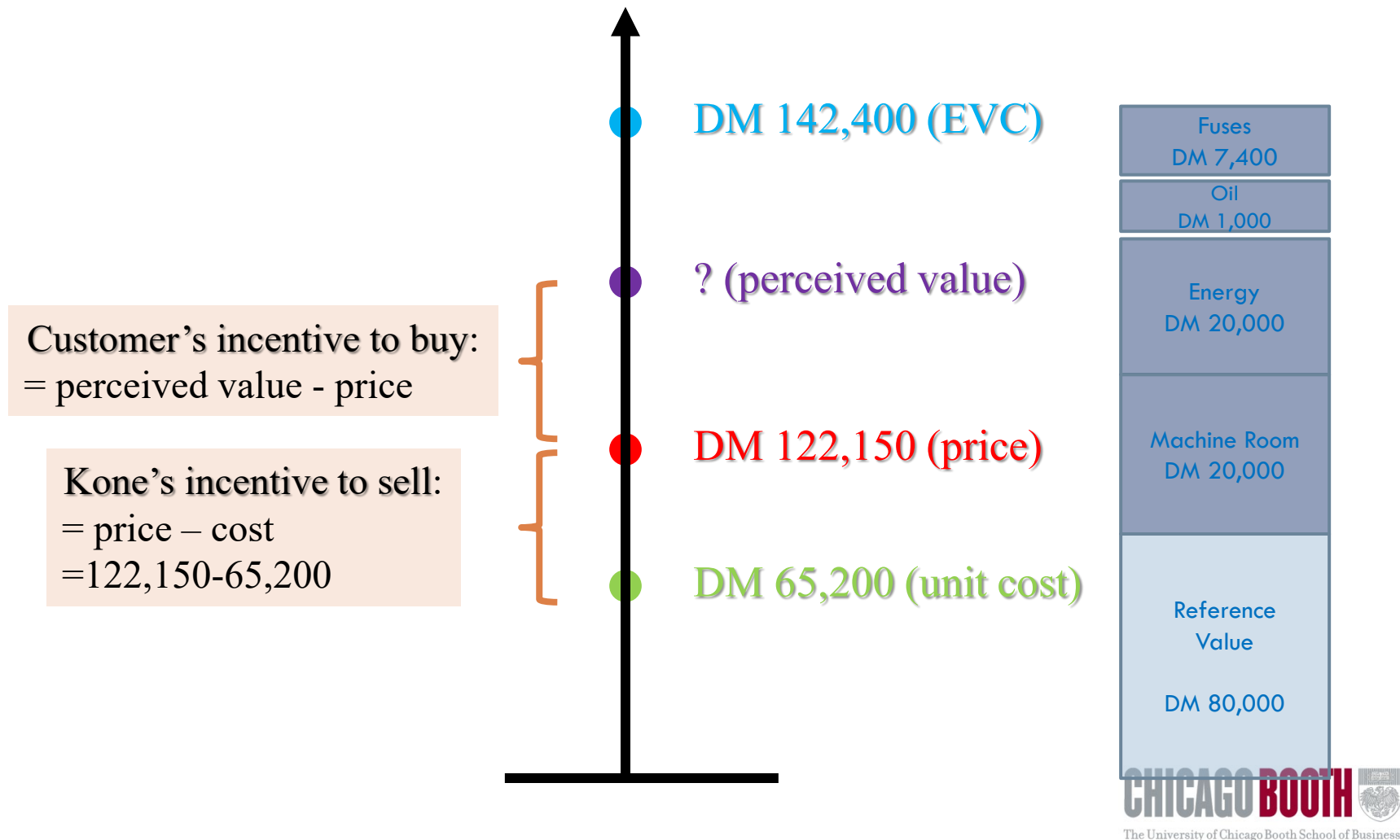
46

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46



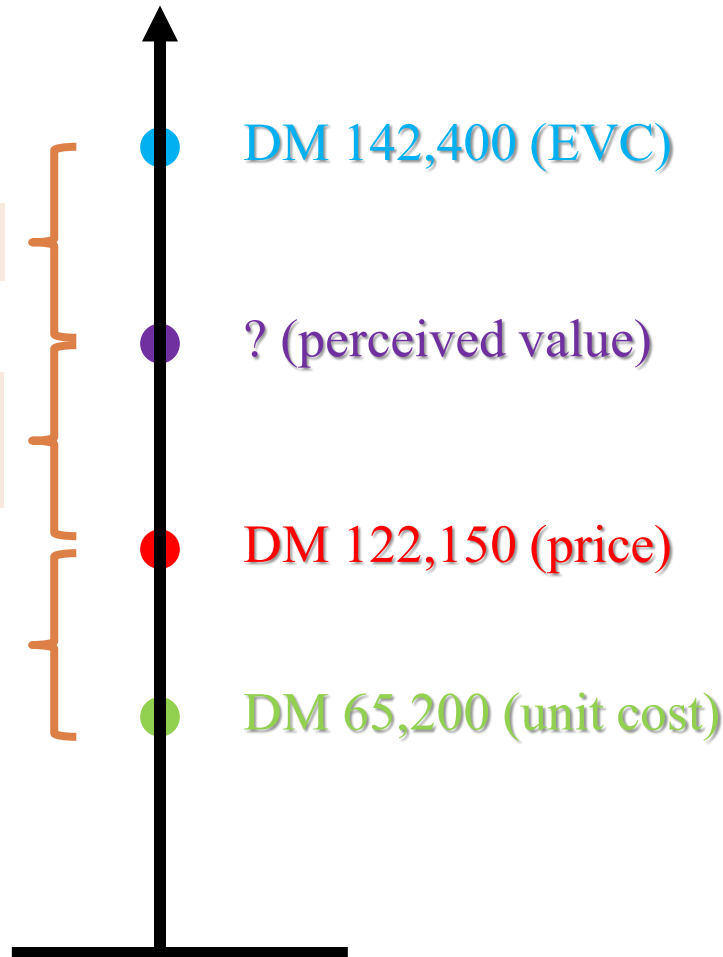
“Selling” the price of DM122,150 segment 1 (PH)

46

Limitations of your marketing

Customer's incentive to buy:
= perceived value - price

Kone's incentive to sell:
= price - cost
= 122,150 - 65,200



Fuses DM 7,400
Oil DM 1,000
Energy DM 20,000
Machine Room DM 20,000
Reference Value DM 80,000

Etiquette, culture and price increases

47

Etiquette, culture and price increases

48

- Price increases should consider social norms and etiquette
- Norms and etiquette vary across countries and cultures
- In Japan, price increases often require “apology” advertising:

“Inflation Means Never Having to Say You’re Sorry”

Miho Inada, Wall Street Journal, August 10, 2022

- Some cultures expect to *barter*. So start high with a number you can afford to lose.

“Negotiating with a Customer You Can’t Afford to Lose”

Thomas C. Keiser, Harvard Business Review, Nov. 1988

Price Negotiations across cultures

49

Negotiation Styles:

- USA: Speed, cost and efficiency
- Canada: Information sharing and problem solving
- China: A soft sell and a hard buy
- Norway: Collaboration and consensus
- United Arab Emirates: Price and relationships
- Australia: A sense of fair play
- Zambia: Flexibility and commitment

Source: “Differences In Negotiating Across Cultures,” *Country Navigator*, August 2, 2021.

<https://www.countrynavigator.com/blog/negotiating-across-cultures/>